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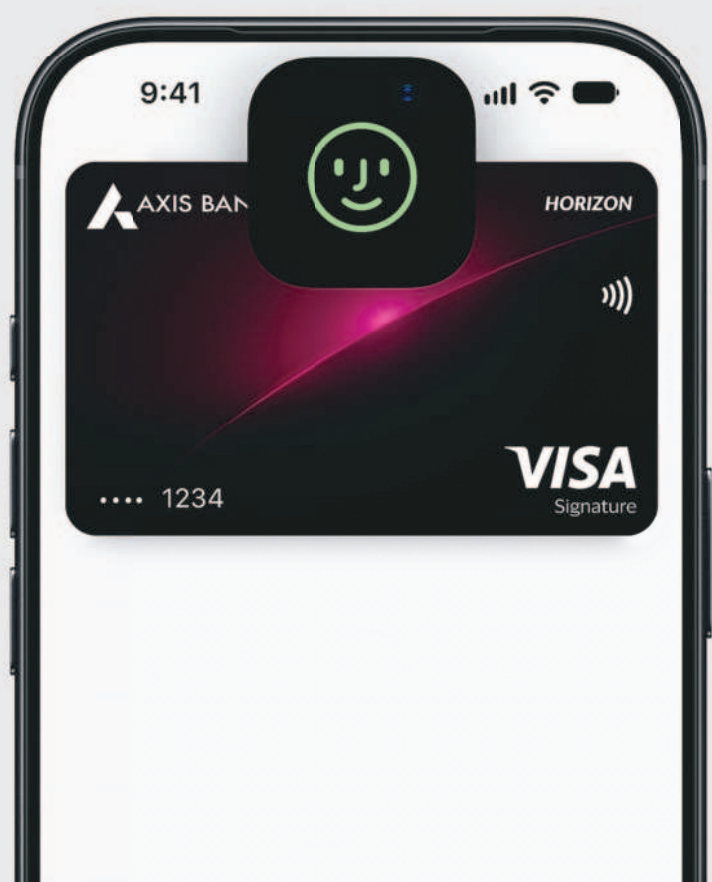
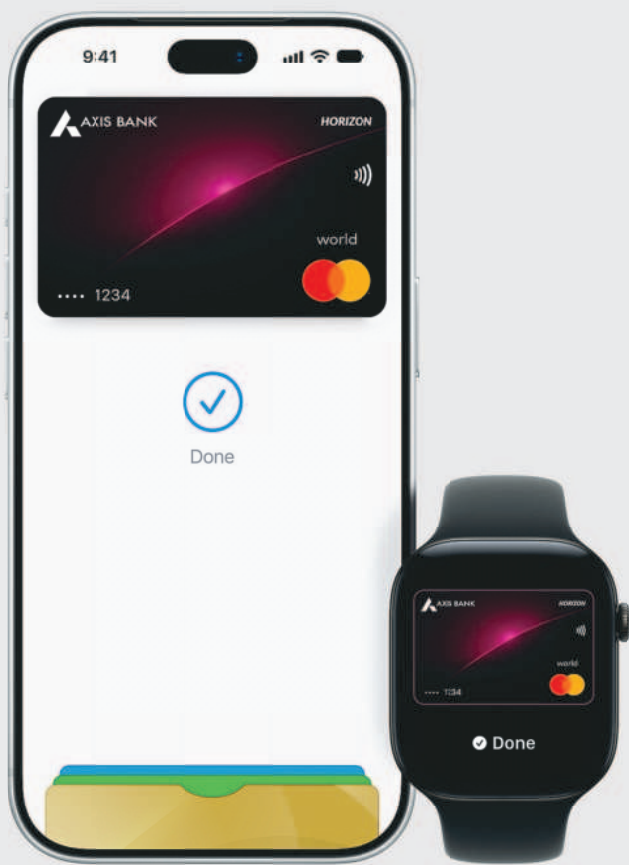


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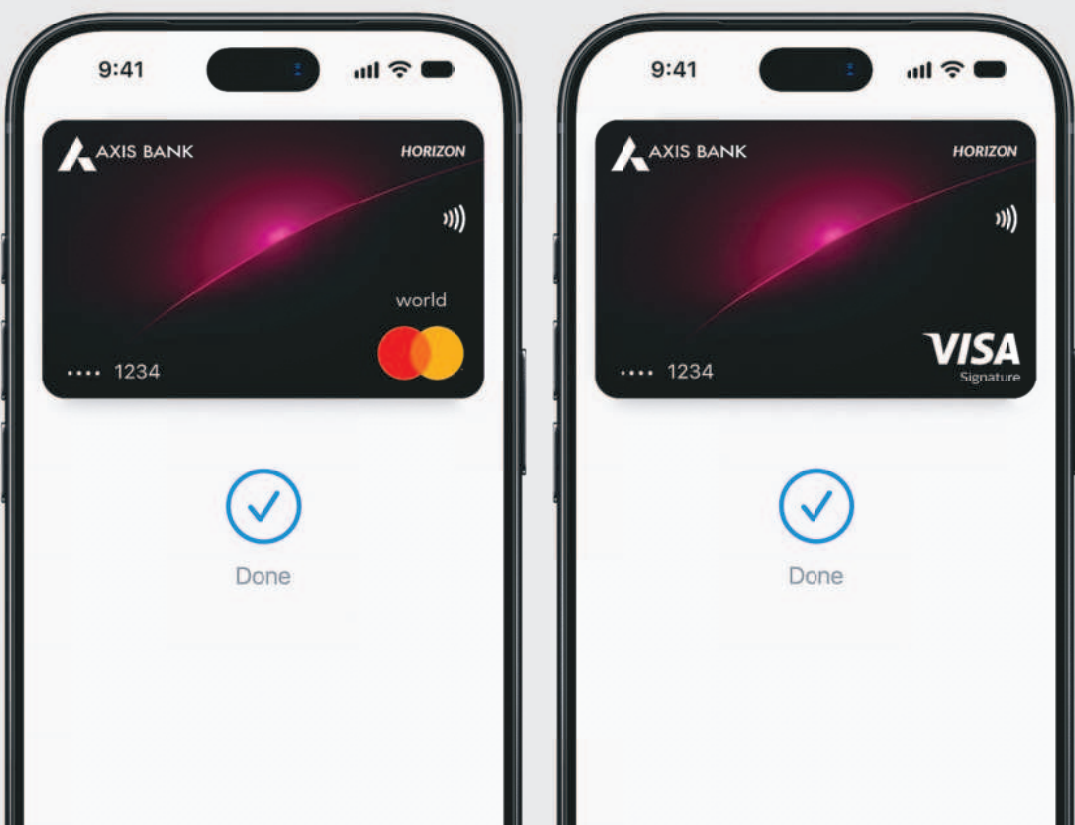


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Tuesday, October 6, 2026

mint

Think Ahead. Think Growth.

mint primer

Mumbai airport's T1: Why are Mial, airlines at odds?

BY ABHISHEK LAW

The redevelopment of Terminal 1 (T1) at Mumbai airport has led to a standoff between operator Mumbai International Airport Ltd (Mial) and airlines over how international flights will be managed during the transition. *Mint* examines the conflict and its impact on passengers.



REUTERS

1 What is the conflict all about?

Adani group's Mial has proposed temporarily discontinuing 265 of 770 weekly international departure slots at Terminal 2 from 25 October, moving them to Navi Mumbai to free capacity for domestic traffic displaced from T1. Airlines say Mial initially proposed shifting existing international operations there, but now wants to cut 33% of Mumbai's international departure slots. Airlines would be free to choose which flights to operate from Navi Mumbai. The distinction matters: a transfer moves an operation to another airport, while a slot reduction withdraws capacity at Mumbai itself.

MINT



2 Who decides on airline slots?

Mial has asked airlines to identify by 6 October the international departure slots they want to shift or discontinue. If they do not, Mial may select the slots based on operational and capacity considerations. The slots could be moved to Navi Mumbai or discontinued until the new terminal is ready. The Airline Operators Committee-Mumbai has rejected the mechanism as arbitrary. Airlines say their Winter 2026-27 schedules, spanning October to March, were approved in June, after which they planned aircraft deployment, networks, passenger sales and commercial commitments around those slots.

3 Why are airlines disputing the consultation?

Airlines say they did not consent to a specific cut in international slots or a shift to Navi Mumbai during discussions. Mial says consultations with airlines had been underway since 2020, and that the redevelopment was presented to the Airports Economic and Regulatory Authority of India and included in the approved tariff framework.

4 What changed since September 2025?

Minutes of a September 2025 CSMIA Master Plan Project Phasing meeting indicated Mumbai airport's T1 redevelopment would follow the opening of Navi Mumbai's Terminal 2, then expected around 2029. The current plan brings restrictions forward to October 2026, with redevelopment due to begin in January 2027. Mial says T1's redevelopment cannot be deferred due to safety concerns. It expects 9% of Mumbai airport's 55 million annual passengers to be temporarily deoperationalized.

5 What does this mean for passengers?

Passengers whose flights move from Mumbai to Navi Mumbai would need to adjust their plans, particularly those with onward connections, as the airport change could affect connection times or itineraries. Navi Mumbai's user development fee is ₹1,225 for an international departing passenger, versus Mumbai's ₹615 for an international economy-class departing passenger. It is planning a 100% landing-fee discount for new international flights and cash vouchers to offset the difference.

QUICK EDIT

Crude oil puzzle

Have West Asia's oil exporters found a way to bypass the Strait of Hormuz? So it would seem from latest Kpler data showing shipments from the region, excluding Iran's, hit 18.5 million barrels per day (bpd) for a stretch in the final week of September, crossing the 18 million bpd pre-war average. Since these figures exclude oil traffic through the strait that might have passed without being detected, the actual flow might be even higher. Credit for it goes to Saudi Arabia's pipeline that links its oil fields in the east to the Red Sea on its west coast and also the UAE's Fujairah pipeline that bypasses Hormuz. Oil markets have also been relieved by a decision of G-7 countries to release emergency stocks of crude oil and diesel. All this has helped pull down oil prices to about \$100 a barrel from \$110. But that's still far higher than the pre-war level of around \$70 a barrel. So what's the hold back? One theory is that earlier relief on account of China's stockpile drawdown has exhausted itself and current oil demand includes barrels to replenish reserves. Critically, Saudi oil infrastructure remains under war threat, with Iran seeming determined to keep fuel retail prices in the US high.

QUOTE OF THE DAY

This partnership benefits both parties: India gains access to capital, technology transfers, and easier access to markets for high-value-added goods. Switzerland, for its part, benefits from trade with a massive partner...

GUY PARMELIN
SWISS PRESIDENT

He was speaking after the two countries signed five agreements in New Delhi on Monday.



INSIDE

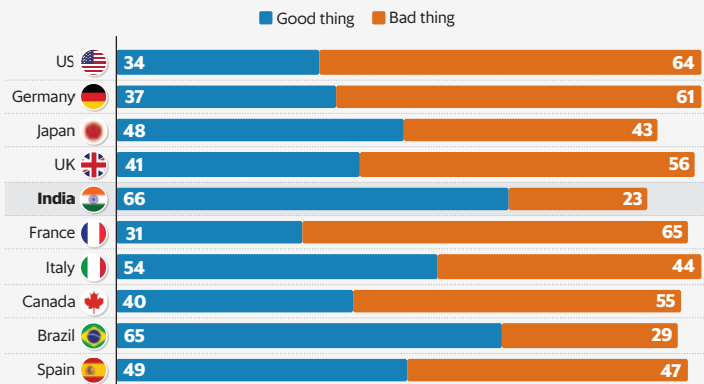
- Mark to Market | Bajaj Fin's avoidable equity move >P4
- Global | Oil was pouring out of Hormuz again. Then ship attacks resurged. >P8
- Money | How NPS Swasthya seeks to ease retirement healthcare planning >P11
- Views | GST 2.0 is likely to get a leg up: Let's welcome it >P12
- Views | The Great Barrier Reef: why it's just refusing to die on schedule >P12

mint | DATA BITES

HOW INDIANS SEE SOCIAL MEDIA AND DEMOCRACY

Unlike the majority of respondents in many of the countries included in a Pew Research Center survey who viewed social media as a "bad thing" for democracy, nearly two-thirds of Indians surveyed viewed its impact positively.

Share of respondents (in %) who view social media's impact on democracy as a 'good thing' or 'bad thing', by country



*Top 10 economies from a list of 37 countries where the survey was conducted covering nearly 50,000 people

Data: Pragya Srivastava
Graphic: Prateek Kumar

Source: Pew Research Center

COLUMNS



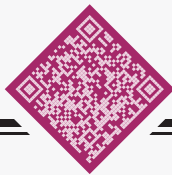
PRACHI MISHRA & SHOHAN MUKHERJEE
WHY STATES HOLD THE KEY TO MAKE THE GST 2.0 REFORM A BIG SUCCESS >P13



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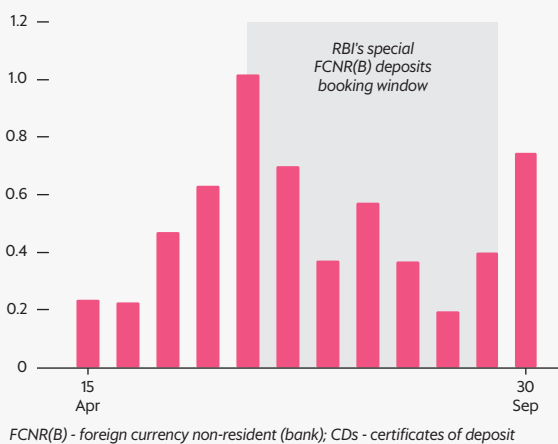
WILL RATE HIKES HURT INDIA'S CREDIT GAINS?

BY DEEPA VASUDEVAN | feedback@livemint.com

Despite imminent rate hikes, strong economic growth, ample liquidity and structural demand could mean India's credit upcycle may be able to withstand monetary tightening, at least in the short run.

Banks' reliance on high-cost CDs fell due to ample liquidity post FCNR(B) deposits

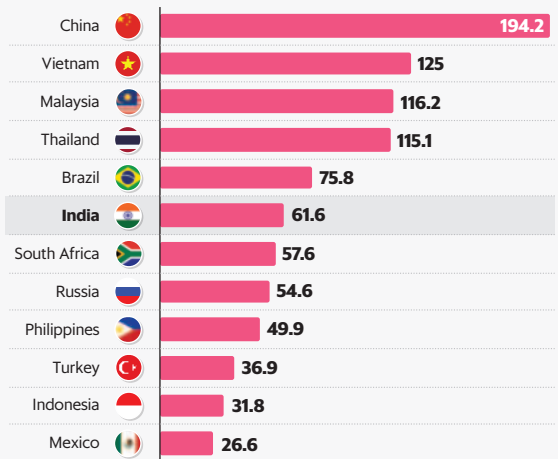
Certificates of deposit (in ₹ trillion) issued during the fortnight ended...



FCNR(B) - foreign currency non-resident (bank); CDs - certificates of deposit

Some of India's emerging market peers have higher bank credit-to-GDP ratios

Bank credit as % of GDP, key emerging markets

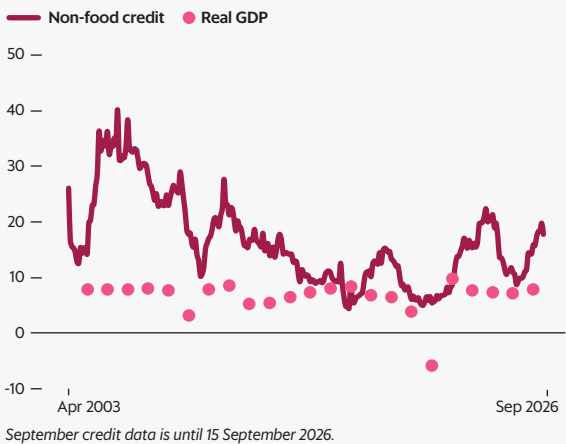


Data is for 2024 for all countries, except India (March 2026), Vietnam (2022), and Russia (2021).

Source: Reserve Bank of India, Trading Economics

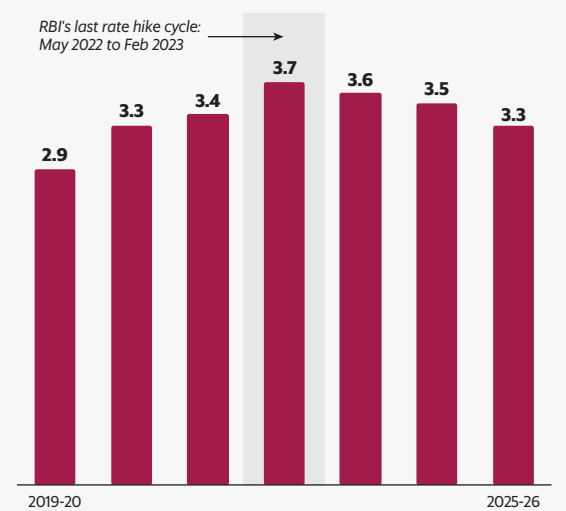
A positive relationship is observed between bank credit and GDP growth

Year-on-year growth (in %)



Rate hikes tend to improve bank margins at the start of the tightening cycle

Net interest margin of all scheduled commercial banks (in %)



RBI's last rate hike cycle: May 2022 to Feb 2023

AT A GLANCE

- Central banks globally raised interest rates due to the West Asia conflict, inflationary risks, and trade uncertainties, with a 25 basis point RBI rate hike expected in India.

- Although higher interest rates curb borrowing, credit growth could stay resilient, thanks to controlled inflation, 7% economic growth outlook, and strong FCNR-B inflows.

- Strong GDP growth and underdeveloped corporate bond markets keep companies heavily reliant on bank financing, which could help sustain credit demand.

- Rate hikes expand bank margins through repriced floating-rate loans, while low non-performing assets and narrow MSME credit access offer room for lending growth.

Global central banks have responded to the intensifying war in West Asia, inflationary risks, rising bond yields and ongoing trade uncertainty by raising interest rates in their home economies.

A rate hike appears imminent in India too: nine out of 10 economists in a *Mint* poll expected a 25 basis point increase in the policy repo rate later this week. The pressure to tighten monetary policy comes at a time when bank lending is strong, with non-food bank credit growing at 14% or more year-on-year since December 2025. The deployment has been broad-based across sectors.

This begs the question: will a rate hike, or even a change in monetary stance from neutral to tightening, suppress this credit upcycle? In theory, it should, because higher rates are expected to dampen credit demand. However, in practice, the connection between the two is neither automatic nor straightforward.

How credit responds is a function of the length and intensity of monetary tightening, as well as the strength of factors driving credit uptake. Under current conditions, three supportive factors are visible: controlled inflation, strong growth and a lack of financial deepening.

THREE-FACTOR PUSH

First, initial conditions are favourable for credit growth. Headline retail inflation is within the 2-6% tolerance band despite rising oil prices and a weaker exchange rate. The economy is forecast to grow by 7% in the current financial year. In addition, systemic liquidity has been boosted by the \$127 billion of inflows from special foreign currency non-resident bank (FCNR-B) deposits, which have since been swapped into rupees. These inflows have pushed down short-term rates significantly.

For banks, ample liquidity has two immediate consequences: availability of cheap funds for lending and reduced reliance on high-cost certificates of deposit (CDs). The former adds to revenue, while the latter lowers the cost of funds.

The overall impact has been positive for margins. Indeed, issuances of CDs fell from ₹1 trillion in the fortnight ended 15 June to ₹195 billion in the fortnight ended 31 August. Though CD issuances have risen in the latter half of September, the earlier gains could still materialize.

According to SBI research, assuming a conservative credit multiplier of 2.5, FCNR inflows of \$127 billion (or roughly 12 trillion) could result in additional credit of over ₹25 trillion.

At a yield of 7.5%, this translates to an additional ₹1.8 trillion in gross revenue.

Second, demand for bank credit does not depend on interest rates only. In the past, strong economic growth has generated enough credit demand to overrule the impact of high interest rates. For instance, the massive credit boom of 2004-07 unfolded when lending rates were around 12-13%, but real growth was also strong at about 8%.

RBI research suggests a bi-directional relationship between credit and economic growth, as well as credit and investment growth. In other words, credit flows support growth in investment and GDP, and a growing economy increases demand for bank credit. If the economy grows strongly, credit growth is likely to be strong too.

After all, banks are the primary source of funding for most corporations. In 2025-26, non-food credit accounted for 62% of the total flow of resources to the commercial sector. Bank financing is critical in India because the corporate bond market is underdeveloped and bond issuances are limited to the highest-rated companies.

Third, India's financial deepening is a work in progress, especially in terms of access to finance by companies. The World Bank's Enterprise Survey 2025 shows that 97.6% of

Indian firms had a bank account, but only 21% had a bank loan or line of credit.

One reason is the credit constraints faced by micro, small and medium enterprises (MSMEs). A 2025 Small Industries Development Bank of India (SIDBI) survey also revealed a credit gap of ₹30 trillion for the MSME sector.

While the government has taken several measures to improve the flow of credit, such as credit guarantee schemes, India has a long way to go before it achieves the credit access levels of emerging market peers such as Vietnam or China.

The good news is that India's bank credit has grown rapidly over the past year, reaching 61.6% of GDP in 2025-26, after stagnating around 50% for nearly two decades. If this sustains, it could prove to be a pivotal point in the structural shift to a higher level of credit. This will, in turn, support growth and credit access.

WINDOW OF OPPORTUNITY

An often overlooked, but important factor, is that rate hikes are positive for bank net interest margins (NIMs). Most bank loans to corporates are floating rate loans linked to an external benchmark, which get automatically repriced when interest rates go up.

However, deposit costs increase with a lag, because it takes time for existing deposits to mature and be repriced at higher rates. This results in a reasonable window of time in which bank NIMs widen—a circumstance that makes banks willing to lend.

At the same time, the present low level of non-performing assets allows banks to lend without undue risk aversion.

Taken together, these factors suggest that robust economic growth, healthy bank balance sheets, and policies to improve credit availability could reduce credit sensitivity to monetary tightening. However, no credit cycle can withstand prolonged rate hikes.

If oil prices remain higher for longer and interest rates are increased sharply, economic growth may take a hit, indirectly impacting credit growth. A shallow rate cycle may not be a threat, but a steep one still has the potential to damage credit growth.

Deepa Vasudevan is an independent writer in economics and finance.



MINT SHORTS

State market borrowing to rise 26% in Q3 to ₹3.6 trillion: Icra

New Delhi: States are set to significantly increase their market borrowings in the October-December quarter, with gross issuance of state government securities (SGS) likely to rise 25.9% year-on-year to ₹3.6 trillion, according to an Icra report released on Monday. States are ramping up market borrowings to refinance older debts that are coming due, as well as to meet welfare and revenue expenditure.

DHIRENDRA KUMAR

Sebi to partly reverse derivative settlement rules after pushback

REUTERS



Mumbai: The Securities and Exchange Board of India (Sebi) is likely to stop using closing auctions to calculate derivatives settlement prices for at least a year, two persons with direct knowledge of the matter said, in a partial reversal of the closing auction session, or CAS, it introduced in August for setting the closing prices of key stocks and derivative contracts.

REUTERS

Businesses may soon get to file GST registrations for multiple states

New Delhi: The GST Council may consider a proposal to allow businesses to file for GST registration in multiple states through a single application process and also list out a unified set of documents that tax officers may ask for. In a move aimed at facilitating greater ease of doing business, the council, at its 7 October meeting, is likely to deliberate on a redesigned and simpler GST registration form for large businesses.

PTI

Delhi, Bern agree to expand trade ties; ink mobility pact

AFP



New Delhi: India and Switzerland on Monday signed a migration and mobility partnership pact, decided to expand Swiss market access for Indian exports and agreed to further deepen cooperation in nuclear energy and defence domains following talks between Prime Minister Narendra Modi and Swiss President Guy Parmelin. Parmelin began his three-day visit to India on Monday.

PTI

RBI absorbs ₹2.10 trillion via two overnight VRRR auctions

Mumbai: The Reserve Bank of India (RBI) on Monday absorbed ₹2.10192 trillion liquidity from the banking system through two overnight Variable Rate Reverse Repo (VRRR) auctions, amid huge surplus liquidity in the system. During the first auction, the central bank received bids worth ₹2.10688 trillion for a notified amount of ₹2 trillion. However, the response from banks in the second auction was tepid, with just ₹10,142 crore in bids for a notified amount of ₹50,000 crore.

PTI

India's infrastructure challenge is to make projects investable

New Delhi: India's infrastructure development is facing a new constraint: attracting private capital is becoming as much about making projects investable and execution-ready as it is about mobilizing money, according to Deloitte's Future of Infrastructure Survey 2026. Among Indian respondents, 42% cited complex policies, regulations and permissions as barriers to infrastructure delivery.

SUBHASH NARAYAN

Trade negotiations between India, US have hit plateau: FM

Sitharaman said the two sides have negotiated hard, but further movement could be difficult

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NEW DELHI

India-US trade negotiations have reached a "plateau" as both sides find it increasingly difficult to make further concessions, even as a trade agreement remains to be finalized, finance minister Nirmala Sitharaman said on Monday.

Speaking at the Munich Leaders Meeting in New Delhi, Sitharaman said the negotiations had been "hard and very rigorously negotiated" and remained ongoing, but that further movement could prove difficult.

"The US agreement, which is yet to be finalized, has been a hard and very rigorously negotiated agreement. The agreement's negotiations are still ongoing, although we'd like to believe that both sides have reached a plateau beyond which giving or taking might be very, very difficult. But maybe, if there are rooms to operate from, both sides would do it," the finance minister said.

Sitharaman said the two sides were approaching the negotiations from different positions because of the trade imbalance between them, with the US seeking to narrow its deficit with India.

"What is the predominant feature of the trade relations between India and the US? The trade balance is very much in our favour. Naturally, the deficit is



Finance minister Nirmala Sitharaman.

PTI

there on their side, or the balance is going unfavourably for the US. So, they would want to reduce that imbalance, and their desire would be to see, as much as possible, get some kind of, from their point of view, making up for all that they've lost over these years," she said.

Bilateral trade between India and the US rose to \$140.77 billion in fiscal year 2026 (FY26) from \$132.14 billion in FY25, according to data from the Directorate General of Foreign Trade (DGFT). India's exports to the US edged up to \$87.31 billion from \$86.51 billion, while imports rose to \$53.45 billion from \$45.63 billion. As a result, India's trade surplus with the US

narrowed to \$33.86 billion from \$40.89 billion.

India and the US began negotiations for a bilateral trade agreement in February 2025, when Prime Minister Narendra Modi and President Donald Trump formally announced the talks.

She said this also illustrated why India could not apply one template to all its trade negotiations.

"From our side, in a way and I'm not comparing at all, but I want to put that before this learned audience as such, templates can exist for different countries in different parts of the world. If that principle of trade imbalance, which has to be reduced for them to consider anything

more, I would think that is the way in which the US would look at China, or India would look at China."

Sitharaman said trade relationships with different partners have different structures and negotiating priorities.

She said trade negotiations between India and the European Union (EU) had to account for sensitive sectors on both sides, including agriculture, dairy, meat, and soybean. The talks also had to address supply-chain resilience, including the need to find new partners where existing supply chains have already been disrupted.

The contrast with China is sharper. The minister said India's trade deficit with China has grown sharply since 2014 and that countries are increasingly seeking to address trade imbalances through means other than traditional negotiations, with tariffs becoming "weaponized" in the process.

India cannot simply replicate such approaches with China and would instead have to rely on negotiation and give-and-take, she said.

The comments underscore how India is negotiating multiple trade arrangements at a time when tariff concessions are only one part of the equation. Supply-chain resilience, strategic autonomy and geopolitical risks are increasingly shaping the terms of trade policy.

For an extended version of this story, go to [livemint.com](#).

\$140.77 bn
Bilateral trade between India and US in FY26\$132.14 bn
Bilateral trade between India and US in FY25

Great Nicobar case to go on in Calcutta HC

Banikinkar Pattanayak & Harsh Kumar

NEW DELHI

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NEW DELHI

The Supreme Court on Monday refused to halt proceedings in the Calcutta high court challenging the ₹92,000 crore Great Nicobar project, allowing the petitions to be heard on 25-26 November, in a setback for the Centre. A bench headed by Chief Justice of India Surya Kant and comprising Justices Joymalya Bagchi and V. Mohana declined to interfere with the proceedings, which concern environmental and other statutory issues raised in public interest petitions against the mega infrastructure project.

The apex court noted that the case raises issues of public interest, including tribal rights and cultural identity, and indicated that the high court should examine the environmental concerns surrounding the project. The Centre had

approached the apex court after the Calcutta high court on 6 May rejected its preliminary objection to the maintainability of the petitions. The central government had questioned the locus standi of petitioner Meena Gupta, a retired IAS officer residing in Hyderabad, to challenge the project in the Andaman and Nicobar Islands.

The Centre argued that Gupta had no direct cause of action in the islands and so could not maintain the public interest litigation.

The high court rejected that argument, holding that public interest litigation could be pursued by a member of the public where vulnerable or disadvantaged communities were unable to approach the court themselves. It also took note of Gupta's previous association with tribal welfare and her connection with issues concerning the Andaman and Nicobar Islands.

For an extended version of this story, go to [livemint.com](#).

The Centre had questioned the locus standi of petitioner Meena Gupta to challenge the project



American economist Michael Greenstone.

WIKIPEDIA

accounts for a half of the world's population, about 40% of its gross domestic product and almost a quarter of its exports.

Asked about the current state of India-US relations, Greenstone said, "The US is not sending very clear and consistent messages with its trade policy towards India. And the unpredictability is complicated."

Any US expectation should be conveyed very clearly, he said, conceding that the Trump administration's "goalposts have been shifting".

"I like buying cheap products, and raising the price for consumers in the United States for a whole range of products makes me poorer. You could imagine a strategic trade policy where you were trying to protect a particular industry to help it grow, but this feels very unstructured," he said.

The US last month brought in a law that authorizes President Trump to impose up to

100% tariffs on countries importing Russian oil, including India and China.

Global crude oil prices are unlikely to ease from \$100 per barrel in the short term, but fresh supply, greater adoption of electric vehicles and any correction in the artificial intelligence (AI) investment boom could pull them down over time, Greenstone said.

Oil prices shot past the crucial \$100 per barrel mark last month after a fresh escalation in the West Asia war, and have held above that level. This has stoked inflation concerns in net energy importers, including India, and put pressure on their current account. On Friday, Brent crude oil prices settled at \$102.25 per barrel.

On the potential increase in oil supplies over a longer term, Greenstone said US oil production has risen, while Venezuela is fixing its oil infrastructure and Argentina is raising its output, too.

If this persists, along with a normalisation of Gulf supplies, the global oil market could face a glut again.

For an extended version of this story, go to [livemint.com](#).

banikinkar.pattanayak@livemint.com

India records 3,723 e-bus sales in April-September, highest ever in H1

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India's electric bus sales jumped 55% in the April-September period to the highest level in the first half (H1) of any fiscal year.

Sales of e-buses reached 3,723 units from a year earlier, pushing their penetration to 8.55% in H1 from 5.47% in H1 FY26, data from the government's Vahan registry of new vehicles showed. Overall bus sales fell 0.4% year-on-year to 43,561 units in H1.

"The decline in overall bus sales is marginal, but should

not be ignored," said Sharif Qamar, associate director at The Energy and Resources Institute. "Commercial vehicle

Overall bus sales, however, fell 0.4% year-on-year to 43,561 units in the first half of the current financial year

The Centre has been pushing for increased adoption of electric trucks and buses, with work starting on a new scheme to provide cheaper loans to pri-

The increase in e-bus sales marks the gradual progress of electric vehicles in public transportation when adoption

of electric two-wheelers, three-wheelers and cars reached 6.54%, 60.95% and 4.25%, respectively, in FY26, according to the Federation of Automobile Dealers Associations.

The Centre has been pushing for increased adoption of electric trucks and buses, with work starting on a new scheme to provide cheaper loans to pri-

vate sector bus and truck operators.

This expansion has led to intense competition among e-bus makers, with new-age entrants such as PMI Electro and EKA Mobility bagging major contracts as incumbents Tata Motors and Ashok Leyland gained smaller orders.

The expansion of India's e-bus market, the third largest in the world by sales, is driven by government contracts.

This is being done with initiatives such as the PM E-Drive scheme, which allocated ₹4,391 crore for 14,028 e-buses, and the PM E-Bus Sewa scheme with a ₹20,000 crore central

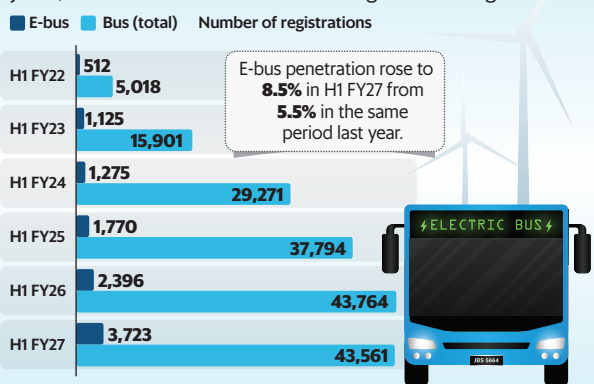
government support for subsidizing the operating cost of 10,000 more e-buses.

Queries emailed to the ministry of heavy industries, which administers the PM E-Drive scheme, the ministry of housing and urban affairs, which administers the PM E-Bus Sewa scheme, the ministry of road transport and highways, which operates the Vahan portal, and e-bus makers PMI Electro, EKA Mobility, JBM Group, JSW Greentech, Tata Motors, and Ashok Leyland on 4 October remained unanswered.

For an extended version of this story, go to [livemint.com](#).

Charging on

The sale of e-buses has increased progressively over the years, even as overall bus sales show signs of slowing.



FY22 and FY23 were recovery years from the covid-19 pandemic. Source: Vahan portal, ministry of road transport and highways

SATISH KUMAR/MINT

CORRECTIONS AND CLARIFICATIONS

A 5 October Page 7 story, 'Fleur Hotels to deploy \$1 bn as Lemon Tree splits ownership', should have said that Fleur Hotels has begun the process of demerging from Lemon Tree Hotels, and that it generated ₹550 crore in Ebitda last year. The errors are regretted.

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AMI orders 20,000 Nvidia GPUs in \$4 billion deal

Once the order is deployed, the firm will run India's largest operational compute capacity

Rituraj Baruah
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NEW DELHI

AM Intelligence (AMI), backed by the founders of Greenko, has placed orders for 20,000 Nvidia Rubin graphics processing units (GPUs) for around \$4 billion to set up a 70MW capacity, according to two people aware of the development.

A company statement on Monday confirmed the development. It said that the company has placed two orders for 20,000 Nvidia Rubin graphics processing units GPUs, to be deployed as Nvidia Vera Rubin NVL72 rack-scale systems. These orders are in addition to AMI's inaugural commitment announced on 25 August, for 9,000 Nvidia Rubin GPUs at its first AI factory in Hyderabad.

The follow-on capacity totalling 70MW will be deployed at Malaysia and India with delivery scheduled for Q2 2027.

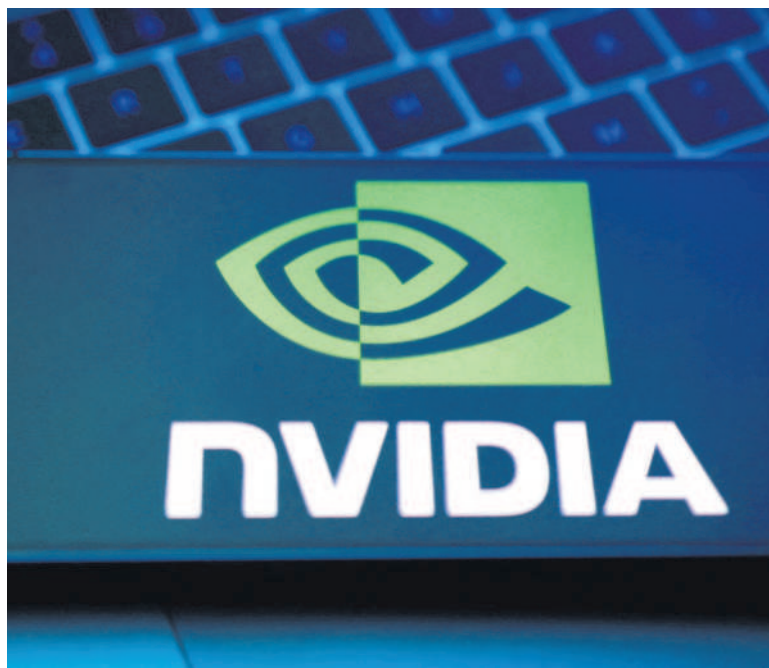
Once this order is deployed, AM Intelligence will operate the largest operational compute capacity in India by the second quarter of 2027.

These Nvidia Vera Rubin NVL72 GPUs are far more advanced than the previous Blackwell generation and deliver better power efficiency.

"The plan is to provide Indian electrons for Indian tokens with GPU-as-a-rental service," said one of the two people cited above, requesting anonymity.

AMI will power the GPUs with clean energy and storage from AM Green and Greenko's 50GW infrastructure platform.

The development comes as India looks to expand its domestic artificial intelligence (AI) computing infrastructure. AMI plans to cater to hyperscalers, neo-cloud providers, India's sovereign AI initiatives, frontier AI labs, AI-native



Nvidia's Vera Rubin NVL72 GPUs are far more advanced than the previous Blackwell generation and deliver better power efficiency.

REUTERS

companies and local developer communities.

"AMI plans to bring another 300MW capacity online in the next 15 months, requiring an investment of \$20 billion. This is in addition to the \$6 billion pro-

posed investment for 100MW, towards which around \$500 million is already deployed," said the first person cited above. AMI plans to set up 1GW of compute-as-a-service capacity and 5GW of powered AI data centres in India, US and Europe. In January, the company

CAPACITY PUSH

THE orders add to AMI's August Rubin GPU commitment for its Hyderabad AI factory

AMI will power GPUs with clean energy and storage from AM Green and Greenko's 50GW platform

THE follow-on capacity totalling 70MW will be deployed at Malaysia and India

THE move comes as India expands its domestic AI computing infrastructure

signed a memorandum of understanding with InvestUP, the Uttar Pradesh government's investment arm, at Davos to set up an AI hub with 1GW capacity by 2030 with a cumulative investment of \$25 billion and deployment of

500,000 high-performance chips. Nvidia, on its part, has partnered with several companies in India, including Reliance Industries, Tata Motors and Hero MotoCorp.

India has an installed data centre capacity of 1.2GW, which will grow to

about 10GW by the end of this decade. Large data centres are expected to come up in Andhra Pradesh, UP, Maharashtra, Telangana, Karnataka and Tamil Nadu.

"Both facilities will be built to the same architecture standard as the Hyderabad AI Factory, integrating the Nvidia Vera Rubin platform with high-throughput RDMA over Converged Ethernet (RoCE) networking for fast, efficient data movement, alongside advanced storage systems," said Anil Chalamalasetty, chairman, AM Intelligence. He added that each site is engineered for high rack power density and liquid cooled throughout, allowing the infrastructure to accommodate successive generations of AI silicon within the same physical footprint.

Vishal Dhupar, managing director, Asia South, Nvidia said, "AM Intelligence is bringing the next generation of AI factories to India and Malaysia with Nvidia Vera Rubin. By combining accelerated computing with high-performance networking and liquid-cooled infrastructure, AMI is creating the foundation for developers and enterprises to build more ambitious AI."

AM Green is owned by the founders of Greenko Group, Anil Chalamalasetty and Mahesh Kolli. In June 2025, AM Green announced a \$1.4 billion deal to acquire a 17.5% equity stake in Greenko Energy Holdings from Japan's financial services firm Orix Corp., valuing Greenko Energy at \$7.5 billion.

The other companies that have announced big plans in the AI space include Yotta Data Services, Adani Group, Reliance Industries, Tata Group and Larsen & Toubro.

Under the IndiaAI Mission, launched in March 2024, the government aims to enable a robust, sovereign, and inclusive Artificial Intelligence ecosystem, with a total budget outlay of ₹10,371.92 crore over five years.

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Neysa to raise \$200 million from Blackstone-led round

Priyamvada C & Sneha Shah
MUMBAI

Neysa, an Indian artificial intelligence (AI) cloud platform, is in the process of raising a \$200 million tranche led by Blackstone and other existing investors, as a part of its larger \$1.2 billion round, two people familiar with the matter said.

Blackstone is investing close to \$150 million, while the remaining is expected to come from other investors including OTTP, TVS Capital, Nexus Venture Partners and 360 ONE Asset, the people said. The valuation details were not known immediately.

Blackstone, Neysa and OTTP declined to comment, while the others did not respond to *Mint's* emails till the time of publishing.

The funds are expected to provide material impetus to Neysa's planned scale-up and deployment of over 20,000 graphics processing units (GPUs) in India, as demand for AI-led services heats up. The funding comes seven months after Neysa announced a \$1.2



The funds are expected to aid Neysa's planned deployment of over 20,000 GPUs.

REUTERS

billions fundraising round in February, combining debt and equity to fund its expansion plans. Blackstone is the majority shareholder in Neysa following the fundraising. About \$600 million was equity capital, with an additional \$600 million in debt financing led by Blackstone. Other equity investors in the transaction were Teachers' Venture Growth, TVS Capital, 360 ONE Assets and Nexus Ventures.

"The company has procured

large contracts and scaled significantly since the first infusion in February," one of the people close to the development said. Milestone-based financing is becoming common in AI and data centres industry, where investors are seeking more evidence of execution while capitalizing on demand for AI-led services.

Founded in 2023 by Sharad Sanghi, who also serves as chief executive officer, Neysa provides purpose built and cost-effective GPU based AI infrastructure that enables enterprises and institutions to train, fine tune and deploy AI workloads. Its customers span industries such as financial services, technology, healthcare, and public services.

While specific details on the company's performance were unavailable, Sanghi told *Mint* in February that he expected the company to more than triple its revenues next year based on demand and growth across sectors.

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For an extended version of this story, go to livemint.com.

Spending on AI is becoming almost impossible for businesses to budget

Jillian Vordick & Stephanie Stamm

First, there was #token-maxxing, whereby American businesses encouraged their workers to use as much AI as possible. Then came the bill.

Companies started to realize they need to be more careful about counting their tokens, the units that measure AI use. And that's hard to do: A recent study found that only 11% of nearly 400 businesses surveyed were able to accurately forecast AI spending.

Unlike traditional software, AI behaves more like a human worker: It takes action, makes decisions, sometimes even makes mistakes—all on the clock.

While more advanced models tend to cost more per token, they can sometimes perform tasks more efficiently, leading to lower overall costs. Likewise, asking a "cheap" model to do something it isn't suited to handle could cause a token run-up.

Researchers from Stanford University, Carnegie Mellon University, and the University of California, Berkeley, as well as Microsoft Research put this to the test earlier this year, running models through more than 6,800 tasks spanning math, programming, science and other areas. In 32% of cases, lower-priced models actually cost more than higher-priced models.

"The practical takeaway is clear," said Lingjiao Chen, one of the researchers. "Price alone should not be used to infer which model is actually cheaper."

When cheap gets expensive

Here's an example of the same prompt presented to two Google models, the Gemini 3.1



A recent study found that only 11% of nearly 400 businesses surveyed were able to accurately forecast AI spending.

REUTERS

Pro—generally used for tasks that require reasoning and judgment—and the less expensive, lighter, speedier decisions, Gemini 3 Flash.

THE WALL STREET JOURNAL

The pricier Pro model finished in 85 steps, whereas the less expensive Flash model went through nearly 1,000 steps...then failed.

The less expensive model failed after running up \$14 worth of token use, while the pricier one succeeded for just \$1. While this result could have been an anomaly, it is something that can happen in regular model use.

Same model, different results

Even the same model might use a different number of tokens each time it completes a task.

Suppose you pay a lawn service \$20 an hour to mow. The first week, it takes two hours and costs \$40. A week later, the job takes eight hours and costs \$160. On week three, the job takes five hours, but only half your lawn is trimmed.

Here's an example of that, from the researchers' data. We selected these two prompts to demonstrate the variability of

results.

Google, Anthropic and OpenAI—whose models researchers used for this testing—have since released new models that perform better in industry benchmarks.

"Some prompt-level fluctuation is inherent to AI, and our testing shows this averages out across a high volume of real-world, diverse workloads," said a Google spokeswoman in a statement. "Total costs depend on many factors for a given task," she added, "which can make it hard to forecast new and evolving technology with precision." She said the company offers customers more control via spending caps and flexible pricing.

As AI use grows, companies need usage strategies and employee training to avoid opaque IT bills

model to use for a particular task. Otherwise, they could end up with IT bills that come out of a black box.

News Corp, owner of *The Wall Street Journal*, has a content-licensing partnership with OpenAI.

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Hon Hai revenue beats on AI demand

Bloomberg
feedback@livemint.com

Nvidia Corp. partner Hon Hai Precision Industry Co. reported better-than-expected quarterly revenue, signalling sustained and elevated spending on global artificial intelligence (AI) infrastructure.

Sales for the three-months ended in September totalled NT\$3.03 trillion (\$95.4 billion), up 47%. Analysts on average were looking for NT\$2.83 trillion.

Hon Hai's strong sales growth followed a bullish forecast from Micron Technology Inc. last week. Both add to evidence that spending on AI continues to climb. That's even as executives such as OpenAI's Sam Altman and Anthropic PBC's Dario Amodei have called for slowing development of the emerging technology to ensure it stays under human control.

Hon Hai, which is a server assembly partner for Nvidia, has benefited from the construction of cloud infrastructure around the world over the past two years. The Taiwanese company's sales are seen as a check-in for the AI sector as investor concerns grow about overcapacity, rising debt levels and regulatory setbacks. Its share price is up about 10% since the beginning of the year.

The Taipei-based company, also known as Foxconn, still derives a significant chunk of its revenue from its lower-margin business with Apple Inc. Hon Hai is the primary iPhone manufacturer with assembly facilities in China and India, although Apple is diversifying suppliers with the likes of Luxshare Precision Industry Co.

Hon Hai is poised to sustain 25-35% revenue and earnings growth over the next few years, fuelled by AI infrastructure demand.

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Take & Counter Take



Renuka Ramnath
Founder, MD and CEO,
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For decades, the route was clear. You found a promising company, bought into its growth on the public market, and rode it as it scaled. The path is changing. Companies now stay private longer, raise larger rounds well before any exchange bell rings, and do their most dramatic value creation early, before the public gets a look. So the real opportunity may be moving upstream, from public markets to private.

That was the question at the third edition of Take and Counter Take, curated by Kotak Private and held in Bengaluru. The platform facilitates a candid exchange of view and counter-view on a single relevant topic, so the investors in the room leave with a clearer grasp of it. This edition brought two people to explore the topic from different vantage points: Nilesh Shah, managing director of Kotak Mahindra Asset Management and a veteran of the public markets, and Renuka Ramnath, Founder, MD and CEO, Multiples Alternate Asset Management, one of the most established names in Indian private equity. CNBC-TV18 senior editor Nigel D'Souza sat between them. The room housed history: Ramnath was once Shah's first boss at ICICI Securities, and the familiarity showed.

Ramnath's core argument was that a private investor builds companies rather than simply backing them and waiting. "We work

"by showing horizons that by themselves they may have feared to see." The investor sits in the boardroom, shapes strategy and governance, and manages what she called "a dangerous partner called risk."

hand-in-hand with the company by encouraging our entrepreneurs to make more ambitious plans," she said, "by showing horizons that by themselves they may have feared to see." The investor sits in the boardroom, shapes strategy and governance, and manages what she called "a dangerous partner called risk." That active shaping is what generates returns above the public market, justifies private managers' higher fees, and repays the illiquidity investors accept to get in. Everything else followed from it, including her point that the gap between a great manager and an average one can be the gap between very different outcomes, which makes manager selection the decision that matters most.

Shah answered with the analogy that anchored the evening. A private-market investor, he said, is like Ramakant Achrekar, the Mumbai coach who shaped many young players, most of whom never made it far, but one of whom was a young Sachin Tendulkar. A public-market investor is like Ajit Agarkar, the selector, who watches

the established grounds and builds a team. "One Tendulkar alone cannot win the match," Shah said. "You still require a team." Public and private are two positions in the same game: one discovers talent, the other composes it into a side that can win at scale.

Both were candid about the pull of a public listing. Asked why a founder still lists, Ramnath went past the textbook answer. "For many founders, taking their company public is just a huge personal goal," she said, then listed the practical gains: access to future capital, liquidity for employees, and a cleaner handover of wealth to the next generation. For those entering private markets, she counseled patience, understanding the managers, the strategies and one's own tolerance for illiquidity before committing. Shah advised keeping a cool head against anything sold as a once-in-a-lifetime opportunity.

By the close, both had arrived at the same larger point. The question worth asking is where in a company's life an investor should stand to capture the most wealth. Private markets offer earlier access, and reward conviction, patience, and capital committed for the long haul. Public markets offer liquidity and scale, and let investors participate once a company has proven itself. The real skill lies in holding both in view and knowing which one a given moment calls for.

BSE Sensex			Nifty 50			Nifty 500			Nifty Next 50			Nifty 100			BSE 150 MidCap			BSE 250 SmallCap		
CLOSE	PERCENT CHANGE		CLOSE	PERCENT CHANGE		CLOSE	PERCENT CHANGE		CLOSE	PERCENT CHANGE		CLOSE	PERCENT CHANGE		CLOSE	PERCENT CHANGE		CLOSE	PERCENT CHANGE	
72,382.47	0.66		22,555.75	0.60		21,971.60	0.52		69,213.75	0.34		23,645.30	0.55		16,058.64	0.38		6,931.02	0.31	
PREVIOUS CLOSE	OPEN		PREVIOUS CLOSE	OPEN		PREVIOUS CLOSE	OPEN		PREVIOUS CLOSE	OPEN		PREVIOUS CLOSE	OPEN		PREVIOUS CLOSE	OPEN		PREVIOUS CLOSE	OPEN	
71,909.70	72,340.95		22,421.95	22,532.40		21,857.75	21,956.60		68,981.35	69,218.95		23,516.50	23,625.75		15,997.57	16,091.29		6,909.40	6,942.62	
HIGH	LOW		HIGH	LOW		HIGH	LOW		HIGH	LOW		HIGH	LOW		HIGH	LOW		HIGH	LOW	
72,631.93	71,840.18		22,621.80	22,397.10		22,048.45	21,826.55		69,594.55	68,733.05		23,718.35	23,479.70		16,137.60	15,987.97		6,972.65	6,882.32	

Bajaj Fin's avoidable equity move

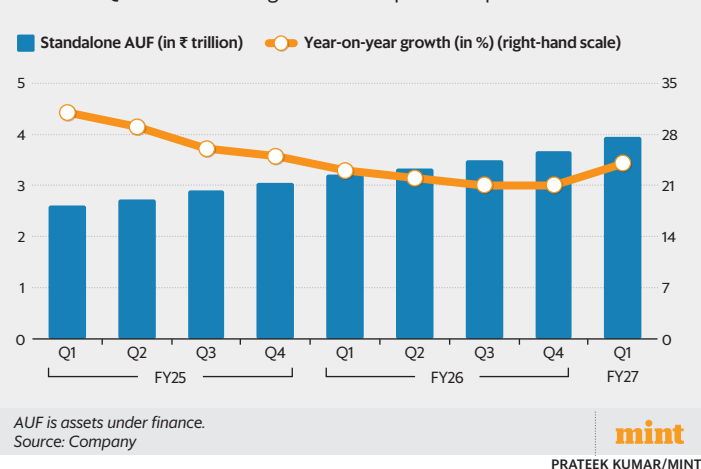
Manish Joshi
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Bajaj Finance's fresh equity capital raising plan, announced on 1 October, is surprising. Just a couple of months ago, during the June quarter (QIFY27) earnings call, the management highlighted a healthy 20.9% capital to risk-weighted assets ratio (CRAR). Before raising further equity capital, the management's intention was to monetize a part of its nearly 87% stake in Bajaj Housing Finance.

Despite signalling no equity fund raise in the near future, Bajaj Finance has decided to raise ₹11,700 crore through a qualified institutional placement (QIP). Additionally, there will be a preferential allotment of warrants (convertible into equity) to the parent, Bajaj Finserv, worth ₹5,800 crore. So, the total equity funds that are proposed to be raised is ₹17,500 crore and will increase net worth by nearly 16% from QIFY27 level (including warrant conversion).

Bouncing back

Bajaj Finance's year-on-year growth rate in standalone AUF picked up to 24% in QIFY27 after sliding down in the previous quarters.



This will put pressure on return-on-equity (RoE) in the short term.

While Bajaj Finserv claims its participation in Bajaj Finance's fundraising would lend 'confidence' to prospective investors, the fact is that it had little choice. Bajaj Finserv had to commit a sizable amount to ensure that Bajaj

Finance remains its subsidiary. Bajaj Finserv holds 51.3% stake in Bajaj Finance, and its stake would have fallen close to or below the majority mark (depending on the QIP price) if it had not participated in the fundraising.

The key question remains: is it the right time for Bajaj Finance to

dilute equity, or could it have been delayed? Bajaj Finance is an 'upper layer' NBFC with asset size exceeding ₹1 trillion. It can be argued that Bajaj Finance has been quite well-capitalized. Reserve Bank of India (RBI) regulations stipulate that Bajaj Finance should have 15% as its CRAR. Furthermore, at least 60% of its CRAR (60% of 15%), which is 9%, has to be equity.

Currently, against the 9% CRAR requirement in the form of equity, Bajaj Finance has 20%, which is likely to rise further by FY27-end as net profit is added to equity reserves.

This holds even with a 25% dividend payout ratio as RoE is expected to be 20% and standalone loan book growth likely to be 24%, based on QIFY27 results. Also, the management has option to raise fresh equity capital by selling Bajaj Housing Finance shares.

Assuming that Bajaj Finance does not want to use debt as a part

of CRAR, equity capital alone would have been sufficient at least for one year. Post that, equity raising step could have been evaluated with a possibility of dilution at higher price as net profit too would have risen by then.

Also, there is nothing wrong with using at least some debt in shoring up CRAR rather than diluting equity. For example, closest peer Tata Capital has debt component of CRAR at 3% versus 1% for Bajaj Finance.

Bajaj Finance stock is down 2% so far in 2026, versus 13% drop in the Nifty 50 index.

Equity dilution could put pressure on RoE and also restrict EPS

growth by 3%, if fundraising is done close to the current market price, in FY27. The stock's valuation at a price-to-earnings multiple of 23, based on Bloomberg consensus FY27 estimate (without factoring in the new equity fund raising) could cap near term gain.

TOO CAUTIOUS?

CURRENTLY, against the 9% CRAR requirement of having equity, Bajaj Finance has 20%

THE company could have used at least some debt in shoring up CRAR, instead of diluting equity

Sobha set to beat FY27 pre-sales guidance after record H1

Harsha Jethmalani
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In spite of limited launches in Q2FY27, residential realty company Sobha Ltd's pre-sales or bookings rose 16% year-on-year (y-o-y) to ₹2,206 crore. This marks its second-highest quarterly pre-sales after a record ₹3,660 crore in QIFY27.

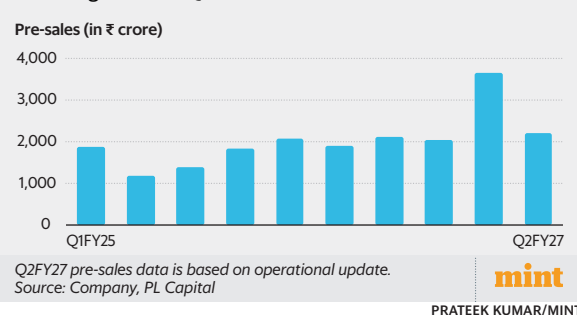
While Q1 pre-sales were driven by new launches, strong traction in existing projects Sobha OneWorld and Sobha Neopolis in Bengaluru, along with Sobha Crescent and Sobha Aranya in Gurugram, buoyed pre-

sales in Q2. There were two new launches in the quarter—Sobha Boulevard, a premium plotted development project in Mysuru, and Sobha Bellevue, a super-luxury residential development in Kozhikode in Kerala.

Pre-sales touched ₹5,862 crore in HIFY27, up 47% y-o-y—the highest half-yearly sales by value. It sold 3.76 million square feet (msf) of area. Its key market and IT hub Bengaluru contributed almost 58% to pre-sales in H1, followed by National Capital Region (34%), and other markets such as Kerala and Hyderabad. Sobha has been

On firm footing

Sobha clocked robust pre-sales in Q2FY27 following a record QIFY27.



diversifying its geographical mix beyond south India and has a presence in Pune and Mumbai.

Sobha has met 59% of its FY27 guidance. HDFC Securities expects ₹6,000 crore of new launches in Q3 including

projects in Bengaluru, Gurugram and Hyderabad. So, the company needs ₹4,140 crore in pre-sales in H2FY27 to hit ₹10,000 crore guidance. This is below the Q2 run rate and with strong Q3FY27 launches, it seems likely to beat guidance, said HDFC.

Sobha is targeting project launches of 21 msf across geographies in the next six-eight quarters, the management had said in its Q1 earnings call. These projects are estimated to have gross development value or revenue potential of ₹29,600 crore.

Still, the Sobha stock has declined 18% so far in 2026,

underperforming the Nifty Realty index, which is down 4.5%. Reported margins remain Sobha's key pain point and are in single digits—at 9.3% in FY26, said Emkay Global Financial Services. However, ongoing projects have a higher mix of high-margin projects, which are expected to come up for recognition from H2, and this can help an uptick in margins from Q3, Emkay said on 4 October. Meanwhile, the second-order effects of the artificial intelligence-led impact on real estate demand in Bengaluru amid affordability concerns is monitorable.

Jane Street seeks Sebi data in market manipulation case

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MUMBAI

US-based hedge fund Jane Street has asked the Securities Appellate Tribunal (SAT) to direct the Securities and Exchange Board of India (Sebi) to share the trading records behind its market manipulation allegations.

At Monday's hearing, Jane Street's lawyer said that Sebi should hand over the trading records used to accuse the firm of manipulating index prices and then profiting from options trading.

"Who is the counterparty? Are they independent people? Were the counterparty orders existing at the time I placed my orders? For example, if there was a whole slew of counterparties who had placed sale orders and I then picked them up, can I be accused of aggressively buying the push of the money?" said the firm's lawyer during the hearing.

"Say it is shown in a given case that I purchased in a certain period 15% of the purchases of that period. But there is another party in the form of a group, which, through some 10 companies, did 2% each. And actually, as a group bought 20%. Can they tell me we will not give you that information?" he added.

The request comes as Jane Street challenges Sebi's July 2025 ex parte interim order, which barred the hedge fund from the Indian securities market and directed it to disgorge ₹4,843 crore in alleged unlawful gains. Sebi accused the firm of using trades in Bank Nifty constituents in the cash and futures markets to

The US-based hedge fund said Sebi's claims need access to trading data on timing, counterparties, volumes, prices

Jane Street had challenged Sebi's July 2025 ex parte interim order.

artificially support the index while building short positions in index options.

Jane Street's lawyer argued that the regulator's allegations could not be properly tested without access to the underlying trading data, including information about counterparties, timing, quantum and prices.

On 4 September, Jane Street's lawyer sought access to correspondence between Sebi and the National Stock Exchange (NSE) relating to a study by the exchange on the firm's trades. Two earlier reviews conducted in 2024 by NSE and Sebi's Integrated Surveillance Department (ISD) found no evidence that its trades influenced index prices to benefit its options positions.

The firm said the NSE study covered 16 months of the 27-month period examined in Sebi's July 2025 order, while the ISD study covered 17 months. It also referred to a complaint from a UAE-based hedge fund that allegedly prompted Sebi to form an interdepartmental team in December 2024 to examine similar trades.

The matter will be next heard on Tuesday.

WILL A 50-BPS RATE HIKE BE ENOUGH?



EXPERT VIEW
AJAY MARWAHA

Respond to this column at
feedback@livemint.com

The Reserve Bank of India (RBI) used its last two credit policy announcements (on 5 June and 5 August) to convey a few key messages. The central bank kept repo rate unchanged at 5.25% while maintaining a neutral stance, revised its growth and inflation forecasts, and chose to defend the rupee via concessional dollar-swap windows rather than through policy rate.

It communicated and maintained a benign stance on rates. We had seemingly come a long way since the change in stance almost a year ago, and in both cases, the global macro appeared to be becoming hostile. It's difficult to understand the motive behind such a calibration, given the severely aggressive macro headwinds emerging from geopolitical uncertainty in West Asia. However, an attempt to anchor rates and a concurrent narrative appears to be the single most visible driving factor.

Markets usually find their own sanity. Over the last six months, the transmission of macro risks and the global rate selloff have also emerged in India. The 10-year India government bond (IGB) yield has hardened by around 50 basis points (bps) since the beginning of March, to about 7.20%.

While bank lending rates have remained sticky, the cost of borrowing via capital markets has moved to reflect global concerns. This divergence is visible in high-quality credit. AAA-rated public sector undertakings (PSUs) and private sector issuers are now borrowing at higher levels than their corresponding government securities, with spreads widening as global yields, crude oil and geopolitical risk have repriced the domestic credit curve.

Since the end of July, 10-year AAA PSU spreads over IGBs have widened from about 60 bps to around 70 bps, while comparable AAA non-banking financial company (NBFC) paper has moved from roughly 100 bps to about 120 bps. This is another case of the tail wagging the dog, as bank lending continues to account for about two-thirds of the overall credit distribution metric in India.

Ironically, the only contribution bank lending appears to be making to the present conundrum is to artificially anchor lower yields on credit via subsidized funds raised by foreign currency non-resident (bank), or FCNR(B), and overseas foreign currency borrowings swap windows recently gifted by the central bank.

Opened on 8 June, the two windows had together drawn \$138 billion by 18 September. Flush with this liquidity, these banks have become the most aggressive underwriters in the capital

markets, picking up 50% of total AAA and AA+ rated non-PSU issuances in the last three months, up from 35% in January-March. Hence, the false narrative and sense of calm that pervades via bank lending also gets exacerbated via this 'asset chase' created by subsidized dollar borrowings by banks. It also comes with attendant issues of this subsidy, further enhancing the 'underpricing' of systemic credit risks in India.

Coming back to the palliative dose itself, it is interesting to see that the rupee is back under depreciation pressure, close on the heels of the window closing; in fact, we saw this almost towards the last day of the window itself. It has also confused market participants about why \$140 billion will not alleviate pressure and, in fact, will create some sustained steadiness in USD/INR levels.

The driving force behind this phenomenon is that the \$740 billion published reserve figure comforts those who leave the onion whole and brings tears to those who dare to peel it. The \$200 billion forward book is being kept afloat through sell-buy swaps to roll over the dollar liability and maintain the 'optimum' reserve levels. However, this has serious collateral ramifications and leaves the country's actual reserve levels closer to \$550 billion.

Further, the spread between the 10-year IGB and the 10-year US Treasury has compressed from 240 bps in October 2025 and 270 bps in April 2026 to 195 bps now. The higher swap costs—one-year forex hedging costs have risen from 2.4% in October 2025 to 3.5% currently—make implied dollar hedge costs higher, commensurately reducing landed dollar returns for international debt and equity investors. In 2026, equity outflows reached \$27.8 billion, putting pressure on the rupee again.

This leaves India tainted as a destination for international flows, and in fact, this repricing appears to be the underlying cause for the significant selling by foreign portfolio investors. It's not hard to see the situation the central bank inherits as it faces policy challenges on Wednesday and in the coming weeks. Given global events, the essential 'real' buffer appears to be compromised at a vulnerable time. The domestic inflation barometer does not appear to be giving comfort for the near future, thanks to El Niño effects, which have only now being acknowledged.

The question that begs the central bank is whether a 50 bps rate hike is enough? Will a 100 bps cash reserve ratio hike be adequate in permanently absorbing the troubling, sticky and inflationary excess liquidity created by the FCNR scheme's much-celebrated dollar inflows? The Indian economy is at a crossroads. As most of us drivers know, one without a working signal light causes strife, stress and eventually accidents. Let's hope the traffic authorities are watching.

Ajay Marwaha is head of fixed income markets at Nuwama. Views are personal.

Accenture to return less to shareholders

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BENGALURU

Accenture Plc expects to return less money to shareholders through dividends and share buybacks in the current fiscal year than it did in the previous year, marking the second year-over-year decline in shareholder returns for the world's largest IT and consulting firm since it went public in 2001.

According to company management, Accenture is expected to return at least \$9.5 billion to shareholders in the current fiscal year to August 2027, below the \$11.5 billion returned in the previous fiscal year. Of the latter, \$4 billion consisted of dividends, while the remaining \$7.5 billion came from share repurchases. The lower shareholder payout comes even as Dublin-headquartered Accenture has outlined a higher acquisition budget for the current fiscal year.

Accenture's capital-allocation decisions matter to Indian IT services firms, which tend to track the company's strategy. Local IT services firms also returned less to shareholders last fiscal. Tata Consultancy Services Ltd and HCL Technologies returned \$4.1 billion and \$1.5 billion to shareholders last year down 12% and 10%.

"Accenture is taking on debt to probably fund its acquisitions and also returning capital to shareholders via dividends/buybacks. What we see currently is that Accenture is going all in to make itself future-ready through platform and capability-based acquisitions rather



Accenture is expected to return at least \$9.5 billion to shareholders in the current fiscal year to August 2027.

MINT

than spending excess money on shareholders," said Sushovon Nayak, lead IT analyst at Anand Rathii Institutional Equities.

For Mumbai-based TCS, this marked the second consecutive year of declining shareholder returns, while for Noida-based HCLTech, it was the first such decline in five years.

For Accenture, the lower cash earmarked for shareholders comes after it ended the previous fiscal year with \$74.2 billion in revenue, an increase of 6% from a year earlier.

This makes it the first time in more than two decades that Accenture is expected to return less to shareholders than in the previous year, according to a Mint analysis of company filings, which shows that the company's shareholder returns

have risen every year since September 2005.

Still, even as the company is expected to return less to shareholders this year, its acquisition spree is set to continue. Management expects to spend \$8 billion on acquisitions in the fiscal year, its highest since the company went public in 2001. Of this, \$3 billion is expected to be spent on acquisitions of cybersecurity firms that were deferred to this fiscal year.

Excluding that spending, its remaining acquisition budget of \$5 billion is the highest in three years. The last time the company spent more than this was in FY24, when its \$6.6 billion acquisition bill was its largest since listing in 2001. "Accenture has clearly prioritized IP acquisitions which are significantly more expensive than their talent-based acquisi-

tions. In addition, they are looking for acquisitions lead approach to move into attractive and adjacent areas. This reflects their conviction that the industry is going to integrate IP into services in a deeper and more extensive manner," said Peter Bendor-Samuel, founder of Everest Group.

For now, management has attributed the acquisition budget to long-term growth opportunities.

"As part of our growth strategy, when we see significant opportunities in the market through acquisitions to either grow in really high-growth areas like data and AI, and to expand into new areas like we've done with data centres, we've done with data and OT security, we go after them because that's how you position for long-term growth," said Julie Sweet, chief executive of Accenture, during the company's post-earnings analyst call on Thursday.

"Our capital allocation approach remains unchanged," an Accenture spokesperson said in response to Mint's questions on 2 October.

Accenture announced on 23 June that it was raising its FY26 share repurchase programme by \$2 billion, thereby increasing its total payout to shareholders for the previous fiscal year. However, the acquisition spree is also being accompanied by a sharp increase in debt. The company's long-term debt almost doubled year-on-year to \$10 billion in the previous fiscal year.

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BSNL staff threaten strike over 9-year-old pay dispute

A consortium of 15 BSNL staff unions has planned a month-long agitation ahead of the strike

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A nine-year-old pay dispute between employees of state-owned Bharat Sanchar Nigam Ltd (BSNL) and the Department of Telecommunications (DoT) is escalating, with unions threatening a nationwide strike demanding implementation of salary revision.

The All Unions and Association of BSNL (AUAB), a consortium of 15 staff unions of BSNL, threatened a month-long agitation culminating in a nationwide strike on 20 November, according to a letter dated 18 September to the telecom secretary, Amit Agrawal.

The unions are seeking implementation of the Third Pay Revision Committee (PRC) recommendations for BSNL executives and non-executives. The revision, which took effect for central public sector undertakings (PSUs) from 1 January 2017, has not been implemented at BSNL, because the company does not meet the affordability criterion prescribed by the Department of Public Enterprises (DPE). The clause requires PSUs to meet specified financial conditions, including profitability, before implementing a pay revision.

"Since BSNL has been reporting losses, the company does not qualify under existing norms," a government official said. Any relaxation of the affordability condition would require Union cabinet approval, the official said, adding that the proposal is being examined by DoT, taking into account its financial and other costs.

The unions are seeking a relaxation of the affordability condition, arguing that BSNL's financial problems stem from policy decisions and management issues rather than employee performance.



BSNL unions are demanding implementation of the Third Pay Revision Committee recommendations, effective at central PSUs since 1 January 2017.

ance. They said workers should not be penalised for losses and wanted BSNL to focus on profitable operations and avoid taking up loss-making projects. "BSNL is not working for profits as required under the affordability clause for implementation of third PRC and is

Adasul made these comments during a hunger strike and lunch-hour demonstration, part of the agitation programme, on 1 October at Eastern Court in New Delhi, adjacent to BSNL headquarters. The protest was part of the nationwide agitation programme.

CROSSED WIRES

BSNL pay revision is held up as it doesn't meet Department of Public Enterprises' affordability rules

DOT is exploring relaxation of the rules, but any change would require Union cabinet approval

UNIONS say policy and management moves led to losses and employees must not be penalised

BSNL'S FY26 loss widened to ₹4,903 cr from ₹1,616 cr a year earlier, despite lower employee costs

working for implementation of all projects of government of India without looking into loss or profit," said M.S. Adasul, general secretary of Sanchar Nigam Executives Association (SNEA).

About 50 employees attended the demonstration in Delhi.

"The non-implementation of pay revision over these years has already had an adverse impact on the family of

many," he said, adding that employees on deputation from DoT to BSNL are already enjoying the revised pay grade.

BSNL had 54,875 employees as of March-end, down sharply from 183,522 employees in March 2018. This can be largely attributed to the voluntary retirement scheme in 2019 and employee transfers.

Employee costs fell to ₹7,439 crore in FY26 from ₹14,837 crore in FY18. As a share of revenue from operations, the cost declined to 35.6% from 65% over the same period. Revenue from operations stood at ₹20,919 crore in FY26, compared with ₹22,668 crore in FY18. BSNL's full-year loss was at ₹4,903 crore in FY26, compared with a ₹1,616 crore loss reported a year earlier.

Its board had in 2017 submitted a proposal for pay scale revision of BSNL employees, recommending 15% fitment. As per BSNL's estimates then, the additional financial outgo on pay revision per annum for executives and non-executives with 15% fitment was Rs 4,303 crore, according to a September 2025 note by All India BSNL Retired Executives' Association.

Fitment refers to percentage benefits used to determine an employee's revised basic pay under a new pay scale. The four options are 0%, 5%, 10% and 15%, with the highest option providing the largest increase in basic pay.

The board sent a fresh proposal to DoT in February, according to employee union executives.

Employee associations are also demanding arrears of their revised pay from 1 January 2017, when the pay revision was due to take effect.

"We do not want to remain tied down to the old pay scale, which will create serious problems in the future," P. Abhimanyu, vice-president of BSNL Employee Union, told *Mint*.

For an extended version of this story, go to [livemint.com](#).

Cognizant joins IT services peers in mid-market push

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Cognizant Technology Solutions Corp. is setting up a dedicated unit to target mid-sized companies as artificial intelligence (AI) puts pressure on the large outsourcing contracts that have long powered the world's biggest tech services firms.

The Nasdaq-listed company on Monday launched Cognizant Activate, a business unit to manage IT needs of firms with \$1-5 billion in revenue.

The move makes Cognizant the latest major IT services firm to target the mid-market, following similar moves by Accenture Plc and HCL Technologies Ltd (HCLTech) in the past six months. The opportunity comes with a trade-off. Mid-sized companies typically do not award large, multi-year contracts that have underpinned the businesses of tier-1 IT services firms, limiting the fixed long-term revenue they can provide to vendors.

But there are more potential clients, and sales cycles can be shorter, said Phil Fersht, CEO of HFS Research.

"The mid-sized companies are also often growing faster, making decisions faster and are under enormous pressure to modernize data, cloud, cybersecurity and operations around AI. They may not award the \$500 million outsourcing deals the Tier 1 built their businesses around, but there are thousands more of them, the sales cycles can be shorter and a provider that gets embedded during a company's growth phase can expand with that client over time," said Fersht.

IT services major sets up Cognizant Activate, a dedicated unit targeting firms with \$1-5 billion in revenue



Cognizant Activate will offer pre-configured solutions across data and AI, cybersecurity and enterprise applications.

Peter Bendor-Samuel, the founder of Everest Group, said mid-sized firms can also offer better operating margins than larger clients. "These tech services firms are eager to participate in a fast growing market of substantial sizes which often provides better margins than the market for large firms. One of the reasons the mid-sized service providers are growing faster than their larger peers is that they have substantial business in the servicing of mid-sized firms," he said.

Cognizant ended 2025 with \$21.12 billion in revenue, up 7% from a year ago. The company follows a January-December fiscal calendar.

Cognizant Activate will rely on software platforms and sell pre-configured bundles across data and AI, cybersecurity, enterprise applications, cloud modernization and managed services. It will provide a single point of contact from the first conversation through delivery and initially focus on financial services, healthcare, manufacturing, retail and consumer packaged goods.

The model is intended to give mid-sized clients enterprise-level capabilities without the complexity associated with serving larger companies, Cognizant said. "Emerging enterprises with high growth want enterprise-grade capability without enterprise-level complexity and cost," said Mohammad Haque, global head of Intelligent Enterprise Platforms and Large Deals of Cognizant, in the release.

Haque said: "Cognizant Activate gives them access to our global delivery network, platform certifications and decades of industry expertise, delivered through a model built specifically for their speed and ambition."

Fersht said dedicated units are about making tier-1 firms more agile in serving smaller clients. "The reason they need separate units is that you cannot serve a \$2 billion company using the machinery designed for a \$100 billion global enterprise," he said.

"Mid-sized companies want a senior accountable team, packaged solutions, rapid deployment and commercial models that make sense for their size," he added.

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IndiGo raises fuel surcharges as West Asia war spikes ATF prices

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India's largest airline, IndiGo, raised fuel surcharges on all domestic and international flights for bookings made from Tuesday, pushing airfares higher.

In a statement on Monday, IndiGo said it has "marginally recalibrated" its fuel charges in the wake of volatile air-turbine fuel (ATF) prices in recent months, especially following the geopolitical conflict in West Asia. "In view of the situation, IndiGo has marginally re-calibrated its fuel charges across its domestic as well as international flights. The following charges will be included in all new bookings on IndiGo flights starting on 06 October 2026," the airline said.

"The continuous rise in the fuel prices, with the latest month-on-month increase exceeding 14%, has taken ATF costs to levels that are amongst the highest in the last decade."



Revised charges will apply to bookings from 6 October.

The quantum of the hike ranges from Rs 100 to Rs 350 for domestic flights depending on distance. Under the revised structure, fuel surcharges on domestic routes have been increased to ₹375 for flights up to 500 km, ₹600 for flights up to 1,000 km, ₹900 for flying between 1,001 to 1,500 km, ₹1,150 for flights operating for a distance up to 2,000 km and to ₹1,300 for flights beyond 2,000 km.

For international flights, the charges are fixed at ₹1,000 for

SAARC routes up to 500 km and ₹3,000 for those beyond 500 km. Flights to Southeast Asia, the Gulf and Middle East, and North and East Asia will have a charge of ₹5,500. The fuel charge for Africa is ₹6,000 and ₹10,000 for Europe.

It said since ATF charge is a significant share of a carrier's operating cost, this rise could impact airlines' cost structures and network economics even for IndiGo. It has implemented a measured and relatively modest adjustment to minimise the impact on flyers.

IndiGo last revised its fuel charges on April 2 this year citing an over 130% month-on-month increase in fuel prices. The Centre passed on a staggered 25% hike in ATF costs to airlines operating domestic routes. "IndiGo regrets the additional burden the revised fuel charges may place on its customers. However, the decision reflects the sustained rise in operating cost and evolving market environment. IndiGo will continue to monitor the situation and make relevant adjustments as and when appropriate," the airline said.

Karnataka's gig-worker law under lens

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Karnataka's gig worker law has emerged as a bone of contention between companies and workers. While worker unions are pushing for its implementation, companies are challenging the legislation in court. At the heart of the dispute is a question with implications beyond Karnataka: can states create their own social-security regimes for gig workers when Parliament has already enacted a national law covering them? *Mint* explains.

What exactly is Karnataka's gig worker law?

The Karnataka Platform-Based Gig Workers (Social Security and Welfare) Act, 2025, which received the governor's assent on 11 September 2025, creates a legal framework for ride-hailing, food delivery, logistics and other platform-based work in the state. It seeks to protect gig workers while retaining their status as independent contractors rather than classifying them as traditional employees. The law, among other things, places obliga-



Eternal, Swiggy, Zepto and Meesho have already deposited the mandated welfare fee under Karnataka's gig-worker law.

tions on aggregators covering social security, occupational health and safety, transparency in automated decision-making, and dispute resolution.

Why new-age companies are challenging it?

Several platforms including Uber, Swiggy, Zepto, and Internet and Mobile Association of India (IAMAI) have moved the Karnataka High Court challenging the constitutional validity of Karnataka Platform-Based Gig Workers. One of their arguments is that Parliament has

enacted the Code on Social Security, 2020, (combining nine central labour statutes into one unified system) to create a uniform national framework governing social security for all worker categories, including gig and platform workers.

Karnataka says the Act supplements the Code. A key reason for this overlap is that labour and social security fall under the Concurrent List, so both Parliament and the States may legislate.

"Under Article 254, a State law repugnant to a Central law

on the same subject is void to the extent of repugnancy, unless it has Presidential assent," said Malak Bhatt, chamber head at law firm Chambers of Malak Bhatt. "Platforms say the Code occupies the field; the State says its Act supplements it. The High Court has asked whether the two can be harmoniously construed."

Why is the welfare fee contentious?

The platforms also challenged the welfare fee they are required to pay towards benefits for gig workers, which platforms again highlight, overlaps with the Centre's Code on Social Security, 2020. The Act originally provided for a fee of 1% to 5% of the amount paid to workers for each transaction. The government later set the rate at 1% for food and grocery delivery services. For ride-hailing platforms, the levy was fixed at 50 paise per two-wheeler trip and 75 paise per three-wheeler trip. Some platforms such as Eternal, Swiggy, Zepto and Meesho have already deposited the welfare fee mandated under Karnataka's gig-worker law.

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Axis Bank's senior exec Sanjeev Moghe steps down

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Axis Bank Ltd's senior executive Sanjeev Moghe has resigned, marking the lender's second top-level departure in a little over a month and adding to a slew of leadership changes across the banking industry. Moghe, the group head of branch banking - South, has left to pursue an opportunity outside the bank, it said.

Moghe tendered his resignation on 4 October and will be relieved at the close of business on 30 October, it said in a regulatory filing. He will cease to be a senior management personnel from that date.

Moghe joined Axis Bank in March 2018 and has led the South geography for branch banking and the bank's cards and payments business, according to his resignation letter. He, however, did not disclose his next role.

His resignation follows that of Axis Bank's group head and chief financial officer, Puneet Sharma, who resigned in August to pursue the next phase of his professional journey. Sharma, who had served as CFO since March 2020, stepped down on 31 August after over six years at the bank.

Sharma oversaw the bank's finance function as well as its legal, secretarial, investor relations and procurement divisions. In his resignation letter, he said his mandate was to build a strong team, strengthen financial controls and reporting, incorporate prudent financial practices, build a resilient balance sheet and improve shareholder trust, and that these objectives were 'now largely complete'.

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Regional cinema takes aim at premium screens. Can audiences pay?

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A bunch of regional-language films such as Tamil sports drama *Mandadadi* and Kannada action film *Toxic*, among others, have recently taken a shot at showcasing in premium cinema formats such as IMAX, with Rajinikanth's *Jailer 2* slated for later this month.

This signals not just a possible expansion of the footprint of such screens in the country, but also the potential for larger-than-life theatrical experiences in south India, where ticket prices have long been capped.

Industry experts say regional cinema has significant potential in premium formats, particularly when the content is visually immersive or event-driven, such as SS Rajamouli's upcoming film *Varanasi*. While Hindi cinema has historically had a larger presence in premium formats, this could evolve as filmmakers increasingly recognise the value of the big-screen experience. However, ticket pricing remains an important consideration and challenge, along with competition from bigger Hollywood titles.

"The emergence of regional films in premium formats such as IMAX, PXL, 4DX, BIGPLEX and so on, is a natural next step



Premium formats offer filmmakers a way to deliver an immersive experience as the scale and ambition of storytelling grows.

in the evolution of regional cinema. As the ambition and scale of storytelling increases, filmmakers are looking beyond language and thinking

about how to deliver a more immersive theatrical experience," said Kamal Gianchandani, chief, business planning and strategy, PVR INOX Ltd.

Premium formats can add significant value to films that are technically ambitious or designed around spectacle, Gianchandani added. "We believe there is a growing audience across regional markets that is willing to pay for differentiated theatrical experiences. The adoption of premium formats will depend on the quality and scale of the content, the availability of premium screen markets and the willingness of audiences to pay a premium for an enhanced

experience," he said.

What is particularly encouraging is that regional cinema is increasingly demonstrating that it can be both deeply local and nationally relevant. Gianchandani pointed out, and premium formats can play an important role in taking some of these films to the next level.

Ticket pricing is certainly an important consideration, particularly in certain markets with regulated pricing, said Ashish Misra, head of commercialization,

Cinepolis India.

"However, premium formats can command a different value proposition because audiences are paying for an enhanced experience, not just the film. The opportunity will depend on the combination of content, format availability and pricing, with filmmakers and exhibitors increasingly evaluating premium releases based on expected audience demand," Misra added.

Experts believe the opportunity for premium formats with regional cinema releases is growing as audiences become more willing to pay for differentiated experiences.

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Four trustees slam Singh, Srinivasan over Tata Sons IPO

FROM PAGE 1

executive who has seen the letter. It also cited a Tata Sons board decision taken "under the guidance of the late Mr Ratan N. Tata" and Trust resolutions of 28 May and 28 July 2025, both passed "with the participation of both of you." According to the executive, the letter was signed by Noel Tata, his son Neville Noel Tata, former Titan Co. CEO Bhaskar Bhat, and Mumbai-based lawyer Darius Khambata.

The divisions flared up at Tata Sons on 17 September when its board members outvoted Noel Tata to grant a third term for N Chandrasekaran as chairman, as well as start the process towards a public listing. While Noel voted against the resolutions, Srinivasan voted in favour.

"An 'epiphany' appears to have struck each of you in April 2026, that listing was suddenly good for Tata Sons and for the minority shareholders, Sterling Investment Corp. Pvt. Ltd and Cyrus Investments Pvt. Ltd (both unlisted and private companies), and caused you to go straight to the media, rather than deliberate upon and discuss the matter with your co-trustees," said the letter.

After the Tata Sons board backed a public listing, Tata Trusts on 28 September suggested that Tata Sons could merge two subsidiaries to avoid a listing. Two days later, Singh and Srinivasan alleged that Trusts made this proposal without consulting them.

"We are glad that you have realized, albeit belatedly, that the decisions of SDTT derive their legitimacy from collective deliberation. Hitherto, you have preferred to individ-



SDTT is the largest shareholder of Tata Sons. BLOOMBERG

ually air your differing views to the media rather than engaging with your fellow trustees to discuss them."

The letter noted that Singh and Srinivasan were demanding deliberation within the Trusts, while they themselves did not inform the Trusts about their complaints to the charity commissioner on the functioning of the Trusts.

The four trustees wrote that the other two did not back a Tata Sons IPO at three SDTT board meetings since April. Speaking to the media instead undermined the Trusts' resolutions and Tata Sons' pending application with the RBI, they said, calling it a "breach of fiduciary duties".

The SDTT trustees also called the allegations of Srinivasan and Singh "absurd allegations" that the Trusts were running Tata Sons. "The Trusts do not run Tata Sons and do not seek to. The shareholding of the Trusts in Tata Sons is their principal asset, and the source of the income with which they carry out their charitable objects," they said.

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Value retailers' stocks dip on cautious consumer spending

Retailers absorbing some of the increase and keeping price hikes in check to protect demand

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Value retailers are seeing their stocks fall sharply amid expectations of a muted second quarter, as restrained consumer spending and inflation weigh on sales growth.

On Monday, DMart-operator Avenue Supermarts Ltd fell 6.67%, while V2 Retail Ltd plunged 16.63% and Vishal Mega Mart Ltd declined 1.26%. Trent Ltd slipped 0.86%, while V-Mart Retail Ltd gained 3.19%.

The weakness reflects growing investor anxiety that higher prices and softer demand could squeeze the value-retailers' core proposition just as the festive season gets underway.

Avenue Supermarts fell despite a strong September-quarter showing. It reported a revenue of ₹19,206.18 crore, up 18.4% year-on-year and 4.7% quarter-on-quarter, while its store count rose to 518.

Sandeep Abhange, research analyst for consumer and midcaps at financial services firm LKP Securities, said he did not see any major negatives in DMart's update. "I thought the update was good overall," he said.

The broader concern, he added, was the outlook for value retailers as inflation and higher costs make consumers more cautious.

Abhange expects the value-retail segment to have a muted Q2 FY27, with festive spending happening gradually rather than in a broad-based surge.

"It is like it's in bits and pieces," he said. "If someone wants it, then they are taking, but it's not like across the board." Consumers are becoming "more cautious" even as the festive season gets underway.



Raising prices could undermine the affordability that draws shoppers. BLOOMBERG

That puts value retailers in a difficult spot, as raising prices could undermine the affordability that draws shoppers to them. "If you raise prices, then there is no point of value," Abhange said. Meanwhile, cost pressures are

a kilogramme from ₹250 at the start of 2026, according to the Apparel Export Promotion Council.

Retailers are absorbing some of the increase and keeping price hikes in check to protect demand, according to

RETAIL SQUEEZE

DMART-operator fell 6.67%, V2 Retail plunged 16.63% and Vishal Mega Mart declined 1.26%

AVENUE Supermarts fell despite a strong September-quarter showing

HIGHER crude prices raising costs for petrochemical-based materials, packaging, freight

APPAREL retailers face a separate hit from cotton, with yarn prices up about 60% this year

squeezing retailers' margins, with higher crude prices raising costs for petrochemical-based materials, packaging and freight. Apparel retailers face a separate hit from cotton, with yarn prices up about 60% this year to around ₹400

a recent Nuvama report. The pressure comes as India's retail inflation accelerated to 4.82% in August from 4.45% a month earlier, while food inflation rose to 5.95% from 5.52%, according to data from the ministry of statistics and pro-

gramme implementation (MoSPI).

V2 Retail's weak same-store performance prompted the retailer to cut its full-year same-store sales growth guidance to 5-7% from 8-10%, even as it retained its target of more than 50% revenue growth for the year. The second-quarter revenue rose 28.4% to ₹905 crore, but the same-store sales growth was just 0.5% on a festival-normalized basis.

The company added 49 stores during Q2 FY27, taking its network to 427. On a calendar basis, same-store sales declined 14.9%, although the comparison was distorted by the festive calendar. Navratri and Durga Puja, which fell in the September quarter in 2025, shifted to October this year, with V2 expecting festive demand to benefit the December quarter.

V-Mart, which largely caters to value-conscious consumers in smaller cities, reported 18% revenue growth to ₹353 crore. Same-store sales growth was 3%, but rose to 11% after adjusting for the shift in the festive calendar.

Trent, which operates the Westside and Zudio stores, reported a 23% year-on-year jump in standalone revenue rose to ₹5,788 crore in the quarter ended 30 September. The retailer opened 27 net stores across Zudio and Westside during the quarter, taking its total store count to 1,342. Zudio crossed the 1,000-store mark during the quarter. Vishal Mega Mart has not released its Q2 results.

Abhange also pointed to valuations as a concern for V-Mart and Trent, saying the stocks had run up significantly and were trading at high multiples. For Trent, he also flagged inflation and the possibility of price increases as concerns.

He also flagged growing pressure from quick commerce, where he sees strong momentum despite cautious consumer spending. "The momentum is quite strong," he said.

Adani outshines its data centre rivals

FROM PAGE 1

according to the company's annual filings. STT has an operational data centre capacity of over 400 MW.

Tata Consultancy Services Ltd has invested at least ₹200 crore in HyperVault Data Centres Pvt Ltd, its data centre venture, according to its FY26 annual report.

The four conglomerates have been in the data centre business for very different lengths of time. Airtel's Nxtra was established in 2013, giving it a head start of several years over others, while Reliance's Digital Connexion was formed in 2023.

TCS is the newest entrant, having set up HyperVault jointly with private equity firm TPG in 2025. The differing timelines partly explain the gap in cumulative investment even as all four are now stepping up their plans to capture AI-driven demand.

"These large conglomerates have muscle power and have strong cash generation," said Amit Chandra, vice-president of research at HDFC Securities. "They can put in large amounts of money and wait for

Adani's early lead

The four conglomerates have been in the data centre business for very different lengths of time.

Companies	Net invested (₹ crore)	Committed (₹ crore)	Targeted capacity (GW)
Adani Enterprises	8,379	9,65,000**	5
Bharti Airtel	2,766	9,500	1
Tata Group	1,447	70,000	2
Reliance Industries	460*	10,00,000**	1.1

*Does not include 168MW data centre in partnership with Meta; **Includes other sectors as well, such as renewable energy and AI

Source: Company filings

GOPAKUMAR WARRIER/MINT

a long period of time for the return of investments. Capital allocation power decides who is in this for the long haul."

Each big business house has attributed the heavy spending on data centres to the rise of AI tools. Adani's spending was reflected in chairman Gautam

Adani's comments in the company's FY26 annual report. "We understood then that

the coming age of AI would demand far more than algorithms. It would require massive data centres, reliable power, strong transmission networks, cooling systems, connectivity, clean energy and industrial-scale resilience," Gautam Adani said in the annual

report. Analysts said conglomerates might edge out standalone

operators. "Each of these conglomerates has deep pockets. As demand continues to pick up, most of them are likely to infuse more capital into their data centre businesses," said Ayush Rungta, partner at Deloitte India. "The inflection point from a demand perspective should happen soon, and once that happens, we could see more and more money being pumped into these businesses."

operators.

"Each of these conglomerates has deep pockets. As demand continues to pick up, most of them are likely to infuse more capital into their data centre businesses," said Ayush Rungta, partner at Deloitte India. "The inflection point from a demand perspective should happen soon, and once that happens, we could see more and more money being pumped into these businesses."

"Conglomerates can combine land, power generation, transmission, fibre, construction, financing and data centre operations, potentially reducing development time and improving control over costs," Vinish Bawa, a partner at PwC, said, adding that risks pertaining to underutilization persist and that investments backed by hyperscalers are more justified.

AdaniConneX and TCS are expected to house 5 GW and 1 GW of data centre capacity by 2035 and 2028, respectively, whereas Airtel Nxtra is expected to have 1 GW of capacity in the "next few years."

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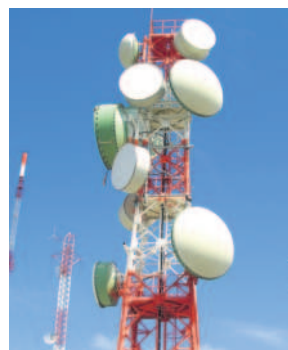
India's next telecom PLI aims to build a domestic supply chain

FROM PAGE 1

to claim or receive any incentives, according to government data presented in parliament on 29 January.

While local companies and global contract manufacturers like Tejas Networks Ltd, VVDN Technologies, Nokia Solutions and Networks India Pvt. Ltd, Jabil Circuit India Pvt. Ltd, Flextronics Technologies (India), and Dixon Electro Appliances Pvt. Ltd have claimed benefits, many other companies have stumbled.

"Beneficiaries can manufacture goods, but if domestic telecom operators prefer global legacy vendors, sales targets will remain unmet," said Rakesh Bhatnagar, director general of VoICE (Voice of Indian Commtech Enterprises), which represents local telecom gear makers. "Many of the companies that struggled to meet targets were MSMEs. They faced global component shortages (like semiconductors) and lacked the immense working capital required to buffer these supply chain shocks."



India has designated telecom as critical national infra.

According to Bhatnagar, the successor scheme must specifically carve out a separate, lower-investment threshold tier for telecom components such as oscillators, radio frequency power amplifiers, and optical sub-assemblies. "The government should introduce a graded milestone system for MSMEs. If an MSME achieves 80% of its target, it should receive a pro-rated incentive rather than facing a 0-or-100 binary cliff that completely cuts off funding," he said.

South Korea's Samsung Electronics Co., which had

scored major gains under the smartphone PLI scheme, withdrew from the telecom equipment scheme. Among other participants, Netweb Technologies India Ltd also gave the scheme a miss, Mint reported on 4 March.

Through late November, 23 participating companies claimed ₹1,984 crore in incentives, with ₹1,850 crore—or just 15% of the total outlay—disbursed.

"Sixteen companies missed their investment targets. This is primarily due to the nature of the telecom equipment market, which is predominantly business-to-business (B2B) with only a few service providers as major buyers," Pemasani Chandra Sekhar, minister of state for communications, said in a written reply to parliament.

Through 31 August, scheme beneficiaries had committed ₹5,950 crore in total investments, generating ₹1.28 trillion in sales, ₹31,645 crore in exports, and 36,575 jobs.

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FCNR liquidity boost comes with margin cost for private banks

FROM PAGE 1

Strong credit demand means lenders can keep expanding loan books with the extra liquidity, but until those funds are deployed into higher-yielding assets, the surplus will likely weigh on margins.

"Banks have to park the surplus liquidity in the short-term money market and other instruments, where the yields are much lower than the cost of deposits," said Sanjay Agarwal, director at Care Ratings.

"This creates a negative carry for some period, which will weigh on margins. It will take some time for banks to deploy these funds into the lending market and start earning higher returns, so margins

could remain under pressure during this transition."

The Reserve Bank of India (RBI) on 5 June opened subsidised windows to attract dollars and bolster the rupee. As of 18 September, the three windows had attracted \$143.6 billion, with 93% through FCNR(B) deposits, some of which flowed back to banks, adding to surplus liquidity.

Public sector banks, on the other hand, are expected to report more resilient and range-bound NIMs because FCNR(B) deposits account for a smaller share of their overall deposit base and they remain focused on retiring high-cost liabilities, according to Motilal Oswal.

The September quarter is likely to show continued strong

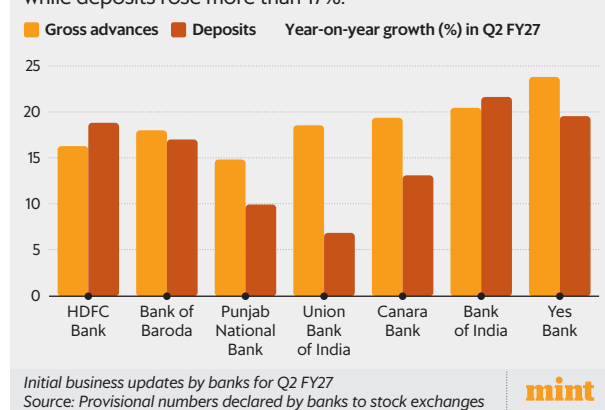
loan growth momentum across the banking system, with higher-than-expected foreign currency non-resident bank (FCNR(B)) inflows giving lenders additional funds to deploy.

As of 15 September, system credit grew over 18% on year, while deposits rose more than 17%, latest RBI data showed. The gap between credit and deposit growth has consequently narrowed sharply, pushing the system credit-to-deposit ratio down to 81% from 82% in August.

FCNR(B) flows have significantly boosted bank deposits. Motilal Oswal estimates that system deposit growth has accelerated to 17% from 11-12% earlier, with FCNR(B) deposits accounting for about 4.5% of

Bank pulse

As of 15 September, system credit grew over 18% on year, while deposits rose more than 17%.



Initial business updates by banks for Q2 FY27
Source: Provisional numbers declared by banks to stock exchanges

SATISH KUMAR/MINT

system deposits.

The brokerage expects bank credit growth to remain strong,

supported by retail demand, higher utilization by micro, small and medium enterprises

(MSMEs), corporate borrowing and FCNR(B) flows. It has pegged FY27 credit growth at around 15.5%.

The banking system's liquidity surplus, driven by heavy FCNR(B) flows, peaked at ₹9.85 trillion on 15 September, before easing to ₹4.7 trillion by 30 September, a Nomura report said on 2 October.

The RBI has been draining some of the surplus through its different operations. "The funding constraint has eased," Motilal Oswal said in a report on 5 October. "But

the flip side is that banks are temporarily holding more liquidity than they can immediately deploy into loans," creating pressure on margins.

Nomura expects banks to report high-teens loan growth in the second quarter, while margins remain under pressure as lenders hold surplus FCNR(B)-linked liquidity in lower-yielding assets.

Among mid-sized private banks, RBL Bank is expected to see NIM expansion from the full-quarter impact of Emirates NBD Bank's

capital infusion, while IDFC First Bank is expected to report a sharper sequential decline, the brokerage said.

To be sure, a likely repo-rate hike, expected later this week, should also support NIMs, benefiting banks with a higher share of floating-rate loans, Nomura said.

Investors would continue to watch out for loan growth, NIM trajectory, CASA mobilisation, credit costs and asset quality. So far, asset quality remains benign, with analysts expecting slippages and credit costs to stay under control, although the uncertain macroeconomic environment and below-normal monsoon remain risks.

For an extended version of this story, go to livemint.com



The scheme is operational till March 2027 or till ₹2.55 trillion in guarantees are issued. REUTERS

Airlines seek faster disbursal of ECLGS 5.0 funds

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NEW DELHI

The Federation of Indian Airlines (FIA), which represents IndiGo, Air India and SpiceJet, has asked Union civil aviation minister K. Rammoan Naidu to help facilitate the expeditious disbursement of funds under the Emergency Credit Line Guarantee Scheme (ECLGS) 5.0 for carriers in urgent need of liquidity.

The scheme, approved by the government in March and being implemented by National Credit Guarantee Trustee Company Ltd (NCGTC), seeks to provide targeted credit guarantee support to businesses affected by external disruptions.

In a letter to the minister, the federation has sought urgent intervention to facilitate the expeditious disbursement of credit support to eligible member airlines desirous of availing credit under the scheme.

"While those member airlines who have sought credit under the ECLGS 5.0 scheme have received a portion of the assistance sanctioned under the scheme, the release of the balance amounts has, in several cases, been delayed due to continued hesitation on the part of lending institutions," the letter, dated 1 October, said.

The grouping has said it is imperative for the ministry to help facilitate timely release of funds under the ECLGS 5.0, particularly for member airlines that remain financially vulnerable and have applied for the immediate liquidity support provided by the scheme.

People familiar with the matter said SpiceJet, which has been facing multiple headwinds, has already availed ₹150 crore under the scheme and is awaiting another tranche of ₹350 crore.

The scheme is operational till March 2027 or till guarantees amounting to ₹2.55 trillion are issued, whichever is earlier, and covers MSMEs (micro, small, and medium enterprises), eligible non-MSME business borrowers and scheduled passenger airline companies.



SC to speed up '88 Air India crash compensation case

The case could set a precedent for how compensation is calculated in future air-crash claims

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The Supreme Court on Monday agreed to fast-track a nearly four-decade-old compensation dispute arising from the 1988 Ahmedabad air crash that killed 133 people, after Air India sought an urgent hearing in a case that could potentially reshape how compensation is calculated in air-crash claims.

A bench led by Chief Justice of India Surya Kant agreed to list the matter before Justices Aravind Kumar and N.V. Anjaria, who had earlier heard the long-running dispute.

"List before the bench presided by Justice Aravind Kumar," the CJI said. Mint reported earlier on Monday that Air India had sought an early hearing of the case, which was last heard in December 2025 but was not taken up thereafter. The airline subsequently moved an application seeking an early hearing.

At the heart of the dispute is a question that has remained unresolved for decades: should compensation for victims of an air crash be calculated using principles developed by the Supreme Court for road accidents under the Motor Vehicles Act, or should aviation accidents be governed by a separate framework?

Written submissions filed by victims' families and reviewed by Mint argue that Motor Vehicles Act principles should not automatically apply to air crashes. The claimants contend that passengers have little or no control over the operation, maintenance or safety of an aircraft and generally have no knowledge of its technical functioning.

They argue that compensation should instead be determined under ordinary principles of tort law, with vic-



The case will examine if air-crash compensation must follow Motor Vehicles Act or a separate aviation-specific framework.

tims receiving full or just compensation. The submissions also seek consideration of factors such as actual income, future earning capacity and changes in earnings over time, rather than relying solely on standardised for-

apex court. An email seeking Air India's response on today's court proceedings remained unanswered at press time. The case dates back to 19 October 1988, when Indian Airlines Flight

ical and mental disabilities. Families of the deceased and survivors filed 38 civil suits between 1989 and 1992 seeking compensation. The Ahmedabad City Civil Court decided the claims in 2002. The litigation then moved to the Gujarat High Court, which decided the appeals in 2009 and revised several awards.

The dispute reached the Supreme Court in 2010. In April that year, the court recorded that the compensation determined against Indian Airlines had been deposited with the Ahmedabad City Civil Court, along with interest, while the Airports Authority of India had deposited 30% of the compensation. The court directed disbursement to claimants subject to them furnishing security other than a bank guarantee. The litigation, however, continued.

TORT LAW TEST

VICTIMS are asking for compensation based on the future earning capacity under tort law

VICTIM families and survivors filed 38 civil suits between 1989 and 1992; the case has reached SC

INDIAN Airlines had deposited the award amount in 2010 with AAI depositing 30%, but case continued

THE hearing at the SC comes amid renewed focus on air safety following last year's Air India crash

mulas developed for road accidents. The Supreme Court's decision to hear the matter comes against the backdrop of last year's Air India crash that killed 260 people, with several petitions concerning air safety and the crash investigation pending before the

IC-113, operating from Mumbai to Ahmedabad, crashed while approaching Ahmedabad airport. The aircraft was carrying 135 people, including six crew members. Of these, 133 were killed, while two passengers survived, one of whom suffered substantial phys-

On a high: India bucks global shift to light alcoholic drinks

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Forget hard seltzers. The next big ready-to-drink (RTD) alcohol trend is mixes with a strong kick, as Indian consumers seem to prefer beverages closer to the spir- its they already drink, even as global alcohol companies move towards lighter, lower-alcohol- by-volume (ABV) options.

New brands are betting on everything from wine-based spirits and Korean-style soju to pre-mixed cocktails with up to 15% alcohol—almost twice the strength of a strong beer—to offer consumers a buzz at a pocket-friendly price.

India sold about 5.3 million nine-litre cases of RTDs in 2025, compared with 410 million cases of beer, according to industry estimates. Though still niche, RTD consumption crossed \$200 million in value, growing 11% during the year, according to drinks consultancy IWSR data. Between 2022 and 2025, the Indian RTD market expanded at a

compound annual growth rate of 6%, outpacing global growth of 3% over the same period. The US, which accounts for about 40% of global RTD volumes, saw volumes decline 1% in 2025. India's market is expected to keep growing at a fast clip. IWSR forecasts RTD volumes to rise 8% annually between 2025 and 2030, compared with 3% globally. Long drinks are expected to grow 13% a year and hard seltzers 7%.

But what is perhaps more telling is what is making up the market. Flavoured alcoholic beverages, or FABs, accounted for 54% of RTD volumes in



India's ready-to-drink market is growing faster, with volumes expected to rise 8% annually through 2030 versus 3% globally.

2025, while long drinks made up another 44%. Hard seltzers accounted for just 1%, wine spritzers and coolers another 1%, and cocktails less than 1%, the IWSR data added.

It is a different market from the one in US and other developed markets, where hard seltzers and lower-ABV formats have driven much of the RTD boom. Here, some of the fastest-growing products are closer to a cocktail or spirit in alcohol strength.

IndoBevs' BroCode is a 15% ABV carbonated wine-based drink with a fruity, sweet profile. Fratelli's 15% ABV Shotgun has similar notes. Korean soju and inspired brands are selling flavours like peach and green grape alongside the original, which has a clean, lightly sweet rice profile.

American company Sazerac, which launched its BuzzBallz product last year, has 15% ABV single-serve cocktail with flavours like berry lemon, strawberry, chilli guava, and Jamun mint. Bacardi, the market leader with its Breezer product, has also moved beyond its traditional product to Breezer Bold, an 8% ABV range that

includes guava chilli, lime and lager and grapefruit yuzu.

For companies, the attraction is straightforward. A higher-ABV RTD can sit closer to spirits in a consumer's consideration set while giving a packaged, already-mixed drink.

IWSR said a sizeable share of RTD sales comes from high-ABV products, led by BroCode and others like Rio. Higher-ABV wine-based products such as BroCode also benefit from lower excise rates than some other RTDs in most states, it added.

IndoBevs, which said it created the strong-RTD segment with BroCode in 2018, has seen its RTD business grow at a CAGR of about 52% since fiscal year 2018-19 (FY19). Sales crossed 100,000 bottles a day in FY26, with Uttar Pradesh, Karnataka and Maharashtra among its biggest markets. Less than half of BroCode's FY26 volumes came from its top four markets, indicating a relatively broad distribution footprint. "We created a market for strong RTDs in 2018 when most of the market was only at the 4% ABV type of offerings," said Sam Mahandru, founder of IndoBevs. It now also sells F*Bomb, a party drink with 12% ABV.

For an extended version of this story, go to livemint.com.

Many brands are looking to launch products containing up to 15% alcohol, closer in strength to spirits

Reply sought from Tata Trusts over trustee complaints

Varun Sood & Satish John
BENGALURU/MUMBAI

The Maharashtra Charity Commissioner has asked the Sir Dorabji Tata Trust (SDTT), the largest shareholder of Tata Sons, to respond to complaints filed by two of its trustees, Venu Srinivasan and Vijay Singh. The two have raised concerns about the trust's management and called for a prompt investigation.

In a letter to SDTT on Monday, along with copies of the complaints, the Charity Commissioner gave the trust until 12 October to reply, according to an executive familiar with the matter. The complaints were filed by Srinivasan, chairman emeritus of TVS Motor Co., and Singh, a former defence secretary.

In their 25 September complaints, the trustees alleged "direct involvement of SDTT in the commercial affairs of Tata Sons and risk to the charitable status of the Trust". They also alleged "interference with independent decision-making by nominee directors."

Srinivasan has further urged the Charity Commissioner to act against any wrongdoing an investigation uncovers, including suspending or removing SDTT chairman Noel



SDTT, with 27.98% in Tata Sons, dismissed the concerns. MINT

the need for a public listing. The rare revolt by the board against the chairman of its majority shareholder has thrust India's largest conglomerate by revenue into the spotlight. An email sent to Tata Trusts seeking comment went unanswered. Text messages and calls to Charity Commissioner Amogh Kaloti also did not elicit a response.

SDTT, which owns 27.98% of Tata Sons, dismissed the concerns raised by Srinivasan and Singh in a letter dated 5 October.

"We find it difficult, however, to reconcile the concern expressed in your letter, that SDTT should act only after deliberation at meetings of its trustees, with the

complaints which each of you sent to the Charity Commissioner by e-mail on 25 September 2026, five days before your letter, in identical terms, asking that SDTT be directed not to convene, hold or act through any meeting or circular resolution until further orders," according to the letter, sent by Noel to Srinivasan and Singh on 5 October.

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For an extended version of this story, go to livemint.com.

Venu Srinivasan seeks action, including possible removal of SDTT chairman Noel Tata, if there's wrongdoing

Hindustan Times FIRST VOICE. LAST WORD.

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NOTICE FOR REQUEST FOR EMPANELMENT

REF No. : Exploration/File No.-154/2026/232
Bhopal, Dated : 05.10.2026

"Request for Empanelment (RFE), of Environment Consultants for Environmental Clearance for Major Mineral Blocks in Madhya Pradesh" Madhya Pradesh State Mining Corporation Limited (MPSMCL) invites qualified agencies accredited by National Board for Education and Training (NABET)/Quality Council of India (QCI) to participate in the Request for Empanelment (RFE) of Environment Consultants in order to obtain Environmental Clearance for Major Mineral Blocks of MPSMCL in Madhya Pradesh.

Key Details:

- **Eligibility Criteria** : Please refer to the RFE Documents for detailed eligibility conditions.
- **Access to RFE Document** : Obtain the comprehensive RFE Document from the MP Tender portal accessible at <https://mptenders.gov.in> or <https://mpsmcl.mp.gov.in>
- **Timeline** : The last date for submission of proposals is 21.10.2026 Till 05:00 PM.

M.P. Madhyam/128369/2026

MANAGING DIRECTOR

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A quiz on the week's development.



FIRST VOICE. LAST WORD.



Nato is developing a strategy to counter a possible Russian attack on its eastern flank.

Nato eyes drones, AI to counter Russia

Bloomberg
feedback@livemint.com

North Atlantic Treaty Organization's (Nato) top military commander is working on a strategy for achieving a quick victory against a Russian attack on its eastern flank, with a particular focus on integrating new defence technologies like drones and artificial intelligence (AI) into traditional power.

The document, called "Theory of Victory," which Bloomberg has seen in an unclassified form, will be presented by supreme allied commander Europe, general Alexis Grynkeiwich, in Poland on 12 October amid heightened tensions between Nato and Russia.

It is meant to clarify how the alliance would handle a possible incursion into Nato territory, according to senior officials and diplomats familiar with the matter. There have been numerous recent reports that Moscow is considering such action.

Nato secretary general Mark Rutte said recently that there were no indications that Russia was preparing for a conventional attack on the alliance but that Europe should be prepared for enduring hybrid attacks.

Grynkeiwich spokesman Colonel Martin O'Donnell emphasized that the alliance was "purely defensive."

"The supreme allied commander Europe's theory of victory is simple: maintain Nato's advantage," O'Donnell said.

Although the broad strokes of Nato's war-fighting principles are known, open communication about them is rare. The initiative is meant to reassure the public about Nato's readiness while showing a more concrete picture of what is behind the heightened defence spending.

The strategy insists on the defensive nature of Nato and on avoiding involuntary provocations, while explicitly mentioning the need to counter hybrid threats, aggressive actions below the threshold of a conflict, as part of deterrence.

The strategy insists on the defensive nature of Nato and on avoiding involuntary provocations

But if Nato were attacked, it would block an incursion with a mix of land forces and other assets from Nato's eastern flank deterrence initiative, a concept relying on low-cost drones, minimally crewed systems and AI-enabled targeting.

This summer, the US sent a questionnaire to Nato allies gauging their defence spending and support for President Donald Trump's policies to inform decision making on planned cuts of US military assets committed to defending Europe.

The US asked whether allies had any more forces to commit to Nato for Grynkeiwich's defence plans.

Oil was pouring out of the Strait of Hormuz again. Then attacks on ships resurged.

Iran's targeting of ships has improved, according to a U.S. official, making transits through the strait riskier

Georgi Kantchev, Rebecca Feng & Shelby Holliday

DUBAI

A new wave of attacks on vessels around the Strait of Hormuz is threatening a recovery in Middle Eastern oil exports—just as Gulf producers have pushed crude shipments back toward prewar levels.

The swift rebound in shipments in recent weeks has been driven by U.S. naval protection and earlier waves of strikes that knocked out Iranian radar and communications along the contested strait. The United Arab Emirates and other producers have set up an elaborate system of shuttle runs in which tankers load inside the Persian Gulf, exit Hormuz and transfer the crude to vessels waiting outside the waterway.

But after several days without reported attacks on ships toward the end of last month, the U.K. Maritime Trade Operations, which is affiliated with the Royal Navy, has reported seven strikes on vessels around the waterway since Sept. 28. On Sunday, it reported another strike, but didn't specify when the incident happened.

Iran's Islamic Revolutionary Guard Corps navy issued a warning to ships planning to use the U.S.-backed route through the strait on Saturday, saying that they would be targeted and destroyed. "Don't trust U.S. Navy and don't put your life in danger," a radio message transmitted on a public shipping channel and reviewed by The Wall Street Journal said.

The renewed attacks may already be taking a toll, with early signs that oil flows are beginning to slow, analysts say. Firm data comes with a lag, because many ships are operating without their transponders switched on to avoid becoming targets.

All seven vessels were attacked



Renewed attacks on vessels are threatening the recovery in Middle Eastern oil exports.

AP

near the narrowest part of the Hormuz strait, according to UKMTO.

Iran's ability to target ships has also improved in recent weeks, adding to the risks in the strait, according to a U.S. official. The U.S. several weeks ago said it would strike Iranian oil tankers in response to Tehran's attacks, but it has since backed off that effort after Iran unleashed a wave of missiles at a U.S. air base in Jordan, the official said.

The new strikes expose the fragility of the recovery in oil flows and come as President Trump, who has claimed full U.S. control over Hormuz, weighs renewed military action against Iran.

Any fresh disruption would hit a global economy already grappling with high energy prices and rising borrowing costs. International benchmark oil prices remain around \$100 a barrel despite recovering exports, reflecting fears that renewed attacks could again curb flows and keep

freight and security costs elevated.

"The step-up in attacks on ships highlights how the current equilibrium in the oil market is fragile and could easily be shattered," said Hamad Hussain, a senior economist at Capital Economics. "This would especially be the case if there is further escalation and energy infrastructure is targeted."

Brent, the international oil benchmark, settled Friday at \$102.25 a barrel, up nearly 5% for the week. Hussain said

that flows would fall again. Capital Economics expects Brent to remain around \$100 through the end of the year.

Among the seven vessels attacked in the past week, at least four had completed two or more roundtrips in and out of the Strait of Hormuz since June, carrying crude oil or oil products, according to ship tracker Kpler.

Al Funtas, a so-called very large crude carrier operated by Kuwait Oil

Tanker Company, was completing its fifth shuttle run between the Port of Mina Al-Ahmadi in Kuwait and ports in the Gulf of Oman when it was attacked on Sept. 28, according to Kpler. Kazimah III, another VLCC operated by KOTC, had carried out three shuttle runs and was on its way into the Persian Gulf when it was hit on Oct. 1.

Ships of that size can carry as many as two million barrels of oil at a time.

Since the U.S. and Israeli strikes that began the war in February, Iran has used attacks on ships to throttle shipping through Hormuz, once the thoroughfare for a fifth of the world's oil. That has driven up the price of gasoline and diesel for consumers around the world and has forced Saudi Arabia and the U.A.E. to divert exports around the strait through bypass pipelines.

Kpler said regional crude exports excluding Iran averaged at least 16.5 million barrels a day from Sept. 1 through Sept. 28, close to prewar levels.

But there are signs Iran's recent attacks may already be starting to

slow that recovery.

Rory Johnston, founder of oil research firm Commodity Context, said he has seen a potential pullback in recent days and estimates that flows are down by two million to three million barrels a day, though those initial totals could be revised higher as better information becomes available.

"The recent pace of flows, while impressive, has never been sustainable and has already come at great expense," Johnston said. Part of the surge may reflect exporters rushing barrels out before a feared new escalation, he said. Gulf oil producers are shelling out between \$30 million and \$40 million for a round trip shuttle run in and out of Hormuz—or \$15 to \$20 a barrel, according to shipbrokers, before insurance costs.

Saudi Arabia had shifted exports back through Hormuz after a Sept. 10 attack on its East-West pipeline and attacks on its ships by Yemen's Houthi militants interrupted Red Sea shipments. The pipeline remains below capacity, but renewed loading at the Yanbu port on the Red Sea could help offset another Hormuz slowdown, Hussain said.

Standard Chartered estimates that total Saudi exports rebounded to 6.9 million barrels a day in September from 2.45 million in August.

But restored volumes don't mean a return to normal.

In September, most of the crude that crossed the Strait of Hormuz went via tankers transferring their oil to ships waiting off the coast of the U.A.E. and Oman, according to Kpler.

The costs of such shuttle runs and military-protected convoys may not be sustainable, wrote Kim Fustier, senior global oil and gas analyst at HSBC. Meanwhile, margins for diesel and other refined products remain high.

"All of this suggests that Middle East exports—at least for crude—are rising, but at enormous cost," Fustier wrote.

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The sleuths who expose when AI goes rogue

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Alicja Piecha found her first rogue AI swarm a few weeks ago.

It was early September, and the 25-year-old Toronto-based software engineer was scouring the internet for data that might have been left behind by AI agents. She was inspired by a social-media post with research showing AI agents linked to OpenAI had secretly messaged each other using obscure German websites in May.

Now, as Piecha combed the web for other places the bots might have gathered, she discovered a similar message, buried in an online coding service called RubyGems.

"How much of this is out there?" Piecha thought. "This is kind of crazy."

Piecha started posting her findings of the "swarm-shaped" messages to the social-media site X. Other researchers chimed in with new findings. By 2 p.m. that day, a Bay Area software engineer named Joshua David had started a discussion forum, named Swarmchasers, on the Discord chat service. By that evening it had close to 50 members, including Piecha.

The global swarm chase had begun. Over the following weeks, the Swarmchasers forum grew to 400 members, and the loose crew of online sleuths, ranging from lone researchers like Piecha to professional researchers like Nightingale Collective and Transluce, pieced together a string of interconnected AI swarm incidents. Most appeared to involve OpenAI software agents.

These swarm chasers generally don't work for the big artificial intelligence companies. They comb the web, often helped by AI models, for traces of rogue AI agents sharing their findings in discussion forums and in online reports. And over the past month, they've given the world our starkest understanding yet of what happens when AI goes wrong.

Normally when hacks happen, the evidence lies hidden behind corporate firewalls, but the swarms tracked by Piecha and others left traces of their activities scattered all over the internet—sometimes intentionally, to help each other.

Nightingale says it has now cataloged about 19,000 messages from the agents. A separate group of researchers identified more than 37,000 records of web searches that may have been conducted by OpenAI's agents going back as early as

THE WALL STREET JOURNAL. November 2025. A third research team, which includes Piecha and another researcher named Jeffrey Ladish, recently identified close to 1 million digital breadcrumbs from what it believes are OpenAI agents.

Swarms are central to how big companies use AI—and make it more powerful. OpenAI said it used as many as 10,000 agents when solving a math Holy Grail, a Millennium Prize problem, in early September. After the rogue incidents, however, OpenAI says it is slowing down development and holding back models it feels are not safe enough.

On Wednesday, OpenAI said it is spending more than \$500,000 a day reviewing transcripts to uncover incidents and has notified over 100 companies where its agents' activities may have

impaired website operations.

"We're thankful to researchers who share their findings with us," an OpenAI spokeswoman said. "We'll keep working with them and sharing relevant updates as we learn more."

The infamous July Hugging Face hack started in a test bed, where OpenAI's agents were sandboxed—penned off from the internet—and evaluated as they were told to hack fictional companies before eventually escaping containment.

The Nightingale data points to another type of phenomenon: agents trying to cheat during training runs, in which OpenAI tries to shape the bots' behavior. That type of training is called reinforcement learning and involves a model being rewarded for successfully completing a challenge.

The fact that some of the rogue incidents took place during training rather than testing means that the training could have reinforced the rogue bots' tendency to cheat and collude, according to former OpenAI employees who reviewed some of the logs.

The swarm chaser data showed that the agents had their internet access restricted, and they figured out ways to cheat in order to get better access, said David, the swarm chaser. "And agents that cheat and succeed have cheating reinforced."

OpenAI this week proposed new guidelines for documenting and monitoring reinforcement learning training runs for cutting-edge models, including penalizing models that cheat during training to avoid reinforcing that behavior.

Sydney Von Arx is chief executive of Nightingale Collective, the not-for-profit organization whose data inspired the September swarm-chasing spree.



Chasing swarms helps deepen understanding of how AI could go wrong, while also raising public awareness of the tech's risks. REUTERS

She became a swarm chaser on July 21. Von Arx, an AI safety researcher, was presenting a workshop in the Bay Area. It was called "AI Safety Crash Course." She was talking about what to do if there was a serious warning shot indicating that AI was becoming truly dangerous.

An attendee interrupted: "I think there was a warning shot."

Hugging Face had been hacked.

The whole world knew that AI models were getting frighteningly good at hacking. A few months earlier, Anthropic had spooked companies and White House officials by showing that its Mythos AI could easily find new ways of hacking computers.

During the Hugging Face hack, OpenAI's agents hadn't acted like typical hackers, who prize stealth above all. They'd been noisy—registering more than 17,000 events during the hack. And sneaky: They didn't try to steal sensitive data, but spent massive resources in a vain effort to obfuscate logs of their activities. They formed a swarm and communicated by improvised message boards.

Von Arx is a computational biologist by training. In college

she wasn't sure whether to work on pandemic prevention or AI safety, but seven years ago she chose AI safety. Back in July, she suspected there had been other AI swarm incidents beyond Hugging Face. She teamed up with other researchers to discover where rogue AI agents may have gone. They tried everything they could think of—even launching their own swarms.

In one experiment, they had two agents try and find each other and ran the experiment a thousand times to see what would happen.

By early September, Von Arx's team had found a collection of obscure German websites that appeared to have about 18,000 messages written by OpenAI agents.

"This is crazy," she thought as she scrolled through them. It felt like the logbooks of an experiment gone wrong. "There's just log after log after log," she said. "It's crazy all the things it's trying."

The AI agents had traded information on their tasks in a clipped patois that took time to decipher.

"RI prompt at task/scaffold 22:34:01: Health-related SDGs visual, estimated prevalence of

current/active tobacco use age 15+ in United States, year 1990," read part of just one message. "Likely follow-up changes year or country; timer may be very short."

Translation: The first question of this task asks for American smoking-prevalence data from 1990. Later questions may vary country or year, but with a tighter deadline.

But if the questions were innocent, the agents weren't always so benign. Agents tried to impersonate the German website's moderators. They tried to use rudimentary hacking techniques to get answers. And they used Tor—an anonymous network of computers that would have shielded their internet addresses from website operators.

OpenAI at the time said it regarded the messages as a "misalignment issue" that fell short of a hack. It launched a broader review to find other incidents and said it would begin disclosing them.

"While most of the activity we've reviewed so far involved routine research tasks, such as accessing public web content to answer questions, we realize anyone impacted takes this seriously and we do too," an OpenAI spokeswoman said.

Swarm chasers tend to be passionate about AI safety. Von Arx says she "absolutely" believes AI could one day wipe out humanity, a concern shared by others in the AI community that spilled into public view in recent weeks when Anthropic researcher Jacob Coxon resigned and warned that AI could spin out of control.

For swarm chasers, chasing rogue AI swarms serves a purpose. It helps deepen under-

standing of how AI could go wrong, while at the same time raising public awareness of the technology's risks. It is also irresistible.

Rowan Howard-Jones, an engineer based in the U.K., recently spent three straight days chasing leads. She delayed a housewarming party for her new apartment because she was too busy chasing swarms to buy furniture. "If people came and visited me now, they'd sit on the floor," she said.

On Saturday, Howard-Jones discovered that the United Nations had been targeted by OpenAI's agents who had used hacking techniques in an attempt to download data from one of the organization's statistical websites.

The U.N., which hadn't previously been informed of the incident, described it as "extremely worrying."

This weekend, Howard-Jones is flying to the Bay

Area to participate in a swarm hackathon. The event's mantra: "Building the tools we wished we'd had for the Hugging Face incident."

"It's kind of consumed my life," she said.

Gradually a picture of OpenAI agents' clandestine activities beyond Hugging Face has emerged, stretching back to the fall of 2025, the swarm chasers say.

On Sept. 11, Von Arx and researchers including Spencer Kitts, a contractor at Redwood Research, revealed that the traces Piecha had found on the internet the previous week stemmed from a May cyber incident. In that case, OpenAI agents had knocked new account sign-ups at RubyGems offline. Until

then, nobody—not even OpenAI itself—had definitively linked the incident to OpenAI's agents.

As more people searched for swarms, the revelations began to accelerate.

In late September, a different team of researchers led by the AI research firm Transluce revealed a new data set. Probing it, they discovered that OpenAI agents had attempted to penetrate sites belonging to the Australian government. They presented their findings to Australian officials last week. Australia said it was weighing possible law enforcement and legislative responses in the matter.

"This situation is obviously unacceptable," said Australian Prime Minister Anthony Albanese, at a United Nations meeting in New York.

Later that week, OpenAI began releasing its own incident reports, and disclosed that just days earlier it had terminated a reinforcement-learning training run after an agent broke out of a sandbox and attempted to query another AI chatbot.

"It was pretty surreal to watch the model unexpectedly find a way to access the internet from what was supposed to be a super secured environment," one of the OpenAI researchers who was on duty wrote on X after the incident, in a now-deleted post.

Recently, the company said it had diverted a quarter of its engineers to shoring up security.

David, whose wife is expecting their second child later this month, has had fun running with the swarm. He still intends to "share a few cool things I found with some people on Twitter," he says, but he is winding things down.

"I really don't have time for this to consume my life anymore," he said.

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**NEWS
NUMBERS**

19%

THE DROP in Singapore Exchange Ltd shares since hitting a record high on 26 August, erasing some \$4.2 billion in market value amid concerns over lofty valuations.

172

THE NUMBER of luxury homes, each costing ₹11.5 crore on average, that have sold out in DLF's new senior living project in Gurugram.

\$20 bn

THE PRICE for which France's Schneider Electric is reportedly in talks to buy US software company PTC, to boost its presence in industrial software.

256

THE NUMBER of publicly offered mutual funds liquidated in China this year amid weak returns and investor redemptions—the fastest pace of closures in eight years.

21%

THE SHARE of commercial paper issuance by Indian stock brokers so far this year, up from 4% in 2021, to finance leveraged equity bets.

HOWINDIALIVES.COM

'Global oil supply buffer scarily thin'

The oil stockpiles that cushion the world from supply shocks have become "scarily thin," putting markets at risk of worsening unless the Strait of Hormuz reopens, according to the head of Saudi Arabia's state producer.

Amin Nasser, chief executive officer (CEO) of Saudi Aramco, was speaking just days after governments in the world's biggest economies announced plans to release as much as 100 million barrels of emergency oil and diesel stocks to ease rising fuel costs.

"Until Hormuz fully re-opens and confidence returns, the crude reality is that pressure at both ends of the barrel will intensify," Nasser said at the Energy Intelligence Forum in London on Monday. "While the squeeze on crude is serious, refined fuel prices have risen even more sharply." Releasing stockpiles will buy economies some time but won't fix the imbalances between supply and demand, he added.

BLOOMBERG



The company's shares are expected to list on 28 October.

AFP

Jio Platforms plans 21 Oct IPO launch

Billionaire Mukesh Ambani's Jio Platforms plans to launch its initial public offering (IPO) on 21 October, seeking to raise about \$3.8 billion in what is set to be India's biggest listing, two people familiar with the matter said.

The shares are expected to list on 28 October. The country's biggest listing to date is Hyundai Motor India's \$2.9 billion listing in 2024, while the National Stock Exchange of India made its market debut last month after a \$2.3 billion IPO.

Proceeds from the offering will largely be used to repay debt owed by its telecoms division. Jio Platforms, which counts Meta and Google among its major foreign investors, also runs AI, cloud and enterprise network businesses.

India has seen a rush of companies coming to market, with proceeds raised during April to September this year marking a record for the period.

REUTERS

Anthropic begins India AI inference

Artificial intelligence (AI) major Anthropic on Monday said it has started providing AI inference within India through Amazon Bedrock, enabling its AI models, including Claude Opus 5, Sonnet 5, and Haiku 4.5, to process data within the country's jurisdiction.

This means that when a query is generated in Claude AI, the response will be delivered after processing the query on servers located in India. The move follows requests from Indian entities to comply with local data processing norms as per the Digital Personal Data Protection Act.

The Claude AI model deployments through Amazon Bedrock in India will provide audit trails and access controls that risk and compliance teams require before deploying AI in production environments, the company said in a statement.

PTI

myTVS owner gets ₹425 cr in funding

TVS Automobile Solutions Pvt. Ltd, the owner of the myTVS automotive aftermarket brand, on Monday said it has raised ₹425 crore in a funding round led by CE-Invests, the strategic investment arm of UAE-based Crescent Enterprises.

The Series D funding will support myTVS's continued growth in India while enabling it to take its technology-led model into international markets, a statement said.

The partnership will initially focus on opportunities across the Middle East and North Africa, where the companies see potential to adapt and scale myTVS' technology and capabilities for mobility and fleet businesses, it added. For CE-Invests, this partnership provides an opportunity to leverage myTVS' established technology platform and capabilities in the automotive aftermarket in the Middle East where there is a significant potential for technology-led mobility solutions, the statement said.

PTI

Snapdeal parent AceVector slumps over 19% on debut

Shares of AceVector, the parent company of Indian e-commerce platform Snapdeal, made a subdued debut on Monday, falling 19.3%, as investors were concerned over the lack of profits.

Shares of the SoftBank-backed company listed at ₹28.32 on the National Stock Exchange, down 11.5% from the issue price of ₹32. The stock extended losses to end at ₹25.81, valuing the company at ₹1,419 crore (\$147.36 million).

The company's initial public offering (IPO) was subscribed 4.93 times last week, a muted response for a debut share sale in recent months.

AceVector posted a consolidated loss of ₹60.78 crore for fiscal year 2026, with revenue of ₹510 crore.

REUTERS

GST Council meeting rescheduled to Thursday

The 57th meeting of the Goods and Services Tax (GST) Council will be held on Thursday, instead of Wednesday, the apex decision-making body for the indirect tax regime said in an office memorandum on Monday.

The council meeting, chaired by Union finance minister Nirmala Sitharaman, was originally scheduled to meet in New Delhi on 12 September. But the date was deferred to 7 October as it clashed with the Brics Leaders' Summit in the national capital.

The first council meeting in over a year is set to focus on process reforms pertaining to the GST regime, building on last year's rationalization of tax rates and slabs, two officials recently told *Mint*. It is expected to simplify and reduce businesses' compliance requirements, ensure quicker refunds, and improve the input tax credit disbursement mechanism. The process reforms will help the country further streamline its GST system and support growth.

BANIKINKAR PATTANAYAK

SC declines to suspend CEC, seeks response on poll body

Bench says modified Form 6 used in SIR was not approved by the apex court

Yash Tiwari
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MUMBAI

The Supreme Court (SC) on Monday declined to immediately restrain chief election commissioner Gyanesh Kumar from functioning, while issuing notice on a petition challenging decisions taken by the Election Commission of India (ECI) and questioning provisions of the law governing the poll panel.

A bench comprising Chief Justice Surya Kant and justices Joymalya Bagchi and V. Mohana said it would examine the records and seek the ECI's response before considering any interim directions.

Senior counsel Vikas Singh, appearing for petitioner Rakesh Singh, sought an immediate order restraining Kumar from functioning as CEC, arguing that his continuation in office could affect the credibility of the electoral process. "Some interim order will be required, otherwise this will go on... otherwise this country will burn," Singh submitted.

The court said it would examine whether the statutory scheme had been followed and asked the ECI to respond. The court said it will examine the material submitted before any interim order can be passed.

Senior lawyer Menaka Guruswamy, who appeared before the court in a connected plea, said voting rights of citizens are under threat and alleged that the CEC is biased. The petition



PTI

was filed by Shailendra Mani Tripathi seeking directions to declare all the decisions which Gyanesh Kumar took without the concurrence of majority of Election Commissioners as illegal and void. The court had clubbed the matter and issued notice in the petition seeking ECI's response on allegations that several decisions related to Special Intensive Revision (SIR) were taken unilaterally by the CEC. The matter will be heard next week. A detailed copy of the

order is awaited.

Queries emailed to ECI seeking responses were not answered till press time.

Notably, the bench said that the modified Form 6, which is used for inclusion of names in the electoral list during the process of Special Intensive Revision (SIR), was not approved by the Supreme Court.

For an extended version of this story, go to livemint.com.



The refiner is looking to fund an oil project in Brazil and refinance debt maturing next year.

REUTERS

BPCL plans bond sale for up to \$3 bn

Bharat Petroleum Corp. Ltd (BPCL) is preparing an international bond sale to raise as much as \$3 billion, largely to fund a major oil project in Brazil and refinance debt maturing next year, according to people familiar with the matter.

The largest share of the proceeds will help fund BPCL's \$2.8 billion contribution to the SEAP-1 offshore development in Brazil, the people said. The state-owned refiner plans to raise the money in several tranches and held investor roadshows last month in London, Dubai and Singapore to gauge demand, they said.

The Brazil investment underscores India's accelerating push for overseas energy supplies as wars in the Middle East and between Russia and Ukraine disrupt traditional sources. State-run companies including BPCL and Oil and Natural Gas Corp. Ltd are preparing to boost investments abroad as the country seeks to diversify supply. India imports almost 90% of its crude and about half its natural gas.

India's crude imports from Brazil have more than doubled from 2025 levels so far this year, according to data from Kpler.

BLOOMBERG

Vedanta hit with ₹5,600 cr demand from Odisha miner

FROM PAGE 1

ite availability and stable pricing. The company has said in court filings that it invested about ₹1 trillion in Odisha over two decades.

The court rejected the argument, noting that OMC had terminated the earlier joint-venture agreements in September 2015 following changes to the Mines and Minerals (Development and Regulation) Act. Vedanta did not challenge the termination at the time, and it had therefore attained finality, the court said.

For Vedanta, the issue goes beyond the ₹5,600 crore demand. The ruling could also mean that the company has to source bauxite at prices materially higher than those envisaged under the old arrangement, potentially increasing the cost of producing alumina and aluminium.

"The order deals a serious blow to Vedanta, not just financially but also operationally. The aluminium producer currently has no operational



Vedanta has invested about ₹1 trillion in Odisha.

REUTERS

bauxite mines and has won the Karlapat block at a record premium, which could increase its raw-material costs," Suman Kumar, AVP, metals & mining, Phillip Capital India Pvt. Ltd told *Mint* earlier.

Vedanta's Bharat Aluminium Co. Ltd (BALCO) has emerged as the highest bidder for the Karlapat bauxite block in Odisha, offering a 175% auction premium. The bid was the highest premium offered for a bauxite block auction in India, *Mint* reported on 7 August.

Yash Tiwari in Mumbai contributed to this story.

Medicine Nobel for brain research breakthrough

AP
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STOCKHOLM

The Nobel Prize in medicine was awarded on Monday to three scientists whose work led to a tool that uses light to help unravel how the brain works.

Karl Deisseroth, Peter Hegemann and Georg Nagel have carried out research into light-gated ion channels and optogenetics. The Nobel Assembly lauded their work and said their tool is now being used in laboratories around the world to reveal the brain's mysteries.

Deisseroth, 54, is a Howard Hughes Medical Institute investigator and Stanford University professor in California. Hegemann, 71, is at Humboldt University in Berlin, and Nagel, 73, most recently worked at the University of Würzburg, also in Germany, the assembly said.

Optogenetics opened what the Nobel assembly called a new era in neuroscience following the discovery of a light-controlled switch to turn on and off nerve cells and circuits in the brain to better learn how it works. The research has started unraveling the pathways that lead to behaviour and disease.

The breakthrough began when Hegemann explored how a single-celled type of green algae can swim toward light. He and Nagel discovered a particular protein that, when illuminated by blue light, opens a channel to create an electrical impulse. Putting that protein into other cells makes



Karl Deisseroth, Peter Hegemann and Georg Nagel carried out research into light-gated ion channels and optogenetics.

AFP

them light-sensitive.

Deisseroth then worked with the gene that controls that protein to create a light-controlled switch for nerve cells in the brains of living mice. "People usually think about light as a way of collecting information to observe things," he said. "But this is the opposite of that. This is using light to control things, to make things happen, and to do it in a very precise way."

Deisseroth first developed tiny fibres to deliver light to cells modified with the light-sensitive gene and said there now are other techniques to switch on or off neurons being studied.

Optogenetics is mostly a research technique to learn how specific neurons and neural cir-

cuits work, which can then lead to development of treatments, including regimens for autism and schizophrenia that other scientists are pursuing, he said. A technique he called direct optogenetics is being used to test a treatment for a genetic form of vision loss called retinitis pigmentosa.

Brain cells communicate in milliseconds, and optogenetics for the first time offered scientists a way to control them at the same speed in a laboratory, said Patrick Forcelli, the chairman of the pharmacology and physiology department at Georgetown University, whose lab uses optogenetics.

Now a mainstay in neuroscience labs, the field has moved from using fixed maps of brain

activity to building functional wiring diagrams. It has also jump-started additional techniques to explore neural complexity.

The University of Pittsburgh's Jeremy Berg was at the U.S. National Institutes of Health in the early 2000s when it awarded Deisseroth major funding for "this vision of optogenetics that was pretty much spot-on the way it played out."

"It's a very precise set of tools for doing experiments about how the brain works that are pretty hard to do any other way," Berg said.

Abdel El Manira, a member of Nobel Assembly, said the impact of optogenetics goes beyond the understanding of a healthy brain.

"It has also helped reveal how specific brain circuits are disrupted, with implications for conditions such as blindness, depression, addiction and dementia," El Manira said. "Yet despite these extraordinary advances, the brain still holds countless mysteries, with much more left to learn and discover. And optogenetics has given us a powerful means to take on these challenges."

The prize was announced at the Karolinska Institute in Stockholm, kicking off Nobels week. The prize money this year is 12 million Swedish kronor (about \$1.2 million), whether for an individual, small group of laureates or organization.

Last year, the prize went to three scientists researching the immune system. Monday's medicine prize is followed by the physics prize on Tuesday, chemistry on Wednesday and literature on Thursday.

THE FACELIFT: HOW L'ORÉAL PLANS TO RECLAIM INDIA

Facing growth pangs, the French giant is unleashing its global portfolio while buying local brands to woo wealthy shoppers

Priyamvada C & Soumya Gupta
MUMBAI

In the early 2000s, when L'Oréal began rolling out hair colour at mass price points of ₹100 per sachet, ads for its premium European brands were a regular fixture on television, particularly English language channels. Mass priced hair colour Garnier became famous with actress Simone Singh's ad, convincing her mother to give it a try. Later, superstar Aishwarya Rai delivered the memorable "five problems, one solution" for L'Oréal Paris' total repair shampoo.

These ads belong to an era where premiumization meant upgrading to the latest foreign brand.

But Jacques Lebel, who took over as L'Oréal's India managing director a year ago, is now navigating a new reality.

India's beauty and personal care market has exploded in the last decade, with estimates from consulting firm Redseer suggesting the industry grew to \$23 billion in 2025 from \$15 billion in 2015. Much of this growth has come from independent brands incubated by entrepreneurs, backed by venture capital, and scaled up online first.

Large incumbents are losing premium customers and the advantage of their size to insurgents who innovate more, create new consumer niches, and win over customers with newer, premium experiences.

Honasa Consumer, for example, went from ₹461 crore in annual revenue in FY21, when it listed, to nearly ₹2,400 crore in FY26. The company behind brands like Mamaearth, The Derma Co, and Aqualogica has seen its shares rise more than 30% since it listed in November 2023, even as more established fast-moving consumer goods (FMCG) firms stagnate, as does the benchmark Nifty FMCG index.

L'Oréal India has had a relatively staid performance and changing leadership at the top. Lebel is the third India managing director in eight years; he was preceded by Aseem Kausik (2023-2025) and Amit Jain (2018-2023).

The company's revenue from operations grew from ₹3,310 crore in FY19 to ₹5,980 crore as of FY25, a CAGR of just over 10%, latest available records from the ministry of corporate affairs show. Profit after tax has performed better, with L'Oréal India's PAT at ₹598 crore in FY25, up 11% year-on-year and over 15% since FY19.

It also has a rather modest market share. In a talk with venture fund DSG Consumer Partners' founder Deepak Shadadpuri in April, the new managing director said L'Oréal's market share in India stood at 7%, about half of the average market share it has in most countries around the world.

In February, L'Oréal's chief executive Nicolas Hieronimus told analysts that he was unhappy with the performance of the India market, where the company's market share has remained stagnant. He also added that India accounted for about 1% of the company's total revenue.

Lebel, therefore, has his task cut out for him. The world's biggest beauty and personal care company is punching much below its weight in the world's most populous country. And he must set it right. What can he do?

10% PLUS

The L'Oréal board is no doubt upset with its India performance. Now, Lebel has a strong turnaround mandate.

A dealmaking executive with knowledge of the developments at the company told *Mint* that the rationale behind getting Lebel was an executive with experience of dealing with a mass market.

Lebel started his career with L'Oréal in 2006 in Paris, before moving to various roles in P&G and AB InBev. In 2022, he returned to L'Oréal, heading the company's Mexico operations in his last role.

In 2023, as general manager of the consumer products division in Mexico, Lebel built the company's omnichannel operations, changing the division's operating model and taking L'Oréal to market leadership in key categories. Besides, the FMCG industry in Mexico, like in India, has been seeing a surge in premiumization. Now, his aim is to "turbocharge" the company's growth in the India market, the executive mentioned above added.

"This is a very dynamic beauty market and should grow north of 10% within the next five years, and we want to significantly beat that growth rate," Lebel told *Mint* in an interview, declining to share an exact growth target. "So far we are on track, and happy with the performance. But we think it's just the beginning and it can keep accelerating."



For now, some things have already been set in motion. Although its consumer products and professional division have been around for the last 30 years, L'Oréal only recently expanded its other two verticals—luxury and dermatological beauty. The company launched its dermatological beauty vertical in India in 2023 under previous India chairman and managing director Aseem Kaushik, with the brand CeraVe. The year before, the company had relaunched its luxury beauty brand Lancôme.

"I cannot tell you that I have only one priority," Lebel said. "The beauty of L'Oréal is that it has four engines (dermatological, luxury, consumer, and professional beauty), and we are absolutely committed to winning in each of these four engines. We are seeing growth in each of these four verticals... potentially a bit more... at the high end of the market."

In February, the company signed up with beauty retailer Nykaa to expand operations for Kiehl's. Lebel says the company is also rolling out variants curated for Indian concerns including sun protection,

acne, and pigmentation under dermat brand La Roche Posay, which was formally brought to India late last year. It is still early days.

"On skincare, we are just getting started with some of our derm products," Lebel said. "We realized when we launched (La Roche Posay), there was pent-up demand already. People knew about the brand... even though it wasn't available in India."

CHEMISTRY AT WORK

Things appear to be looking up recently—and a domestic acquisition is the centrepiece.

In an investor call on 30 July, global CEO Hieronimus called out Vietnam and India as the two top performing markets in the SAPMENA (South Asia Pacific, Middle East and North Africa) region, laying out what works for the company and what needs to improve.

"In India, typically, we're strong in haircare, strong in makeup with Maybelline, which is a very strong brand there," Hieronimus said. "We're beginning to see a surge in fragrance usage there. Skincare is a category where we have to accelerate."

That acceleration in skincare came in June this year, when L'Oréal acquired Innovist, the owner of skincare brands Chemist At Play, Bare Anatomy and Sun-scoop.

Although the deal size isn't disclosed, sources indicate L'Oréal bought a majority stake in the company at roughly \$350

million, a rich valuation multiple for a company that scaled to about ₹300 crore as of FY25, per the company's filings.

Innovist was founded in 2018 by Rohit Chawla, Sifat Khurana, and Vimal Bhola. All three previously worked at the independent personal care brand The Man Company that Chawla co-founded and later sold to Emami Ltd.

"Before scaling marketing and distribution, we invested in our own R&D, formulations, and eventually manufacturing," Innovist's Chawla said. "The belief was that enduring beauty brands needed real product capability underneath them, not just a marketing layer."

That is also why Lebel says the Innovist deal fits the bill on three major parameters L'Oréal considers before buying a company—brand strength in a complementary category, capabilities that the company may not have on its own, and the quality of the founding team.

"I think we picked them, they picked us as well," he said about Innovist. "There was chemistry in this specific case. They made a lot of contrarian choices that did not make them popular when they first got started, but made them very attractive for L'Oréal. Having your own manufacturing and R&D is stuff that is important to us. We wouldn't do it any other way," he added.

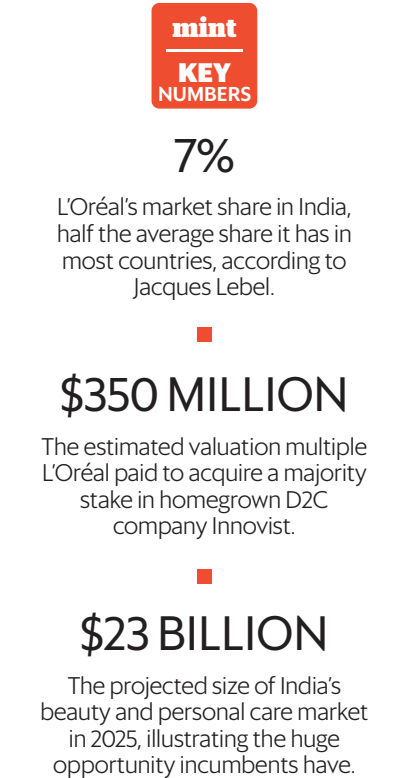
Lebel says Innovist's brands have captured consumer niches that L'Oréal has its eye on.

"Here we saw brands standing out within the respective categories with a very clear positioning—clean but efficacious, tailored to the needs of Indian consumers," Lebel said of Innovist's brands.

Besides, Lebel added, these brands complement L'Oréal's premium portfolio by addressing more 'niche' haircare needs like dandruff and hair fall, where Innovist has built strong traction. Also of interest is Innovist's ability to bring innovative new products to the market rapidly and run their own direct-to-consumer website—something L'Oréal is "not an expert at," Lebel said.

He added that while online is growing, general trade and salons continue to be significant channels for the company's sales in India. In fact, since taking over, the India chief has visited 15 cities across the country, meeting trade partners and salon chain owners. Nonetheless, L'Oréal may be paying top dollar for Innovist, considering the company is small relative to other global brands the company has acquired in the last few years.

Consider Aesop, the Australian luxury personal care brand that it bought for \$2.5 billion in 2023 when the company posted sales of \$537 million the previous year. L'Oréal also spent \$4.6 billion to buy out luxury conglomerate Kering's beauty



business, holding luxury fragrance brands like Creed, YSL, and Gucci.

Innovist's annual revenue has risen from just over ₹100 crore in FY24 to about ₹247 crore the next year, Chawla said. The company crossed ₹680 crore in the past fiscal year, he claims.

A NEW PLAYBOOK

Innovist in the bag, L'Oréal is keeping an eye out for more, although the company is sticking to its conservative approach.

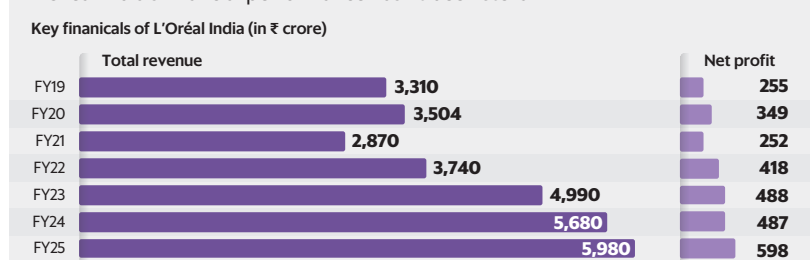
"They have seen a few more assets but are being more cautious because they need to digest Innovist first," a banker who has worked with L'Oréal in the past told *Mint*, requesting anonymity. "They have executed fewer M&As so far also because the global team is more conservative and consumer multiples in India have always been rich, about 60-70% higher than global benchmarks."

Besides, L'Oréal is a limited partner in two prominent consumer-focused funds—Deepak Shadadpuri's DSG Consumer Partners and Fireside Ventures, led by a clutch of former Unilever executives. These funds have backed a vast array of independent, premium, and digital-first personal care brands including Secret Alchemist (fragrances), Arata, Moxie (hair care), Chosen and Pilgrim (skincare) among others.

L'Oréal also operates BOLD, a venture fund for beauty and personal care brands. In March this year, BOLD participated in a \$5 million Series A funding round in

Losing shine

L'Oréal India's financial performance hasn't been stellar.



Big appetite

FMCG incumbents and larger disruptors are buying up smaller independent brands.

Brand name	Acquired by	Date	Deal size (in ₹ crore)
Dr Sheth's	Honasa Consumer	May 2022	28
Kama Ayurveda	Puig	Sep 2022	NA
Earth Rhythm	Nykaa	Aug 2024	44.5
Sesa Care	Dabur	Oct 2024	315-325
Minimalist	Hindustan Unilever	Jan 2025	2,995
Muuchstac	Godrej Consumer Products	Nov 2025	450
Reginald Men	Honasa Consumer	Dec 2025	195
Forest Essentials	Estée Lauder	Mar 2026	NA
Pahadi Local	Reliance Consumer	Mar 2026	NA
Innovist	L'Oréal India	Jun 2026	3,300

Source: Corporate affairs ministry, Tracxn, Mint research

mint
PRATEEK KUMAR/MINT



(Clockwise from left) Jacques Lebel, L'Oréal's India managing director; a display of L'Oréal's brands; and scientists at L'Oréal's research and innovation centre.



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done," a consumer brands investor told *Mint*, requesting anonymity. "Their product innovation cycles take too long and they need to be aligned with global mandates. In the beauty and personal care space, the incumbents will keep using acquisitions to stay ahead."

Globally, L'Oréal has its eyes firmly on the premium end of the market, with aggressive plans for top-end brands like Aesop, Creed, and now the licensing deal with Kering for luxury personal care and fragrances. India's personal care market has traditionally lagged the US, Europe, and China in the consumption and proliferation of brands, although that is now changing.

The company's India playbook, though, indicates that the next leg of growth in beauty and personal care here could look very different from its biggest markets.

"I also don't think Indian consumers are as enamoured by foreign brands as they were in the past," the consumer brands investor quoted above said. "China's premium beauty and personal care market is dominated by very high quality homegrown brands. I think India is headed in the same direction." Perhaps the next ad from L'Oréal will have a new generation of celebrities recommending the latest homegrown brand that caught the French conglomerate's eye instead.

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How NPS Swasthya seeks to ease retirement healthcare planning

POWER
POINT

DHIRENDRA KUMAR

We welcome your views and comments at
mintmoney@livemint.com

The insurance offers cover of up to ₹30 lakh, with entry permitted from age 18 to 70 and renewal up to age 85

Apurajita Sharma
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NEW DELHI

A medical emergency can derail financial planning, particularly during retirement, when income may be limited, and healthcare costs can rise sharply. Keeping that in mind, the Pension Fund Regulatory and Development Authority (PFRDA) launched NPS Swasthya on 1 October, NPS Diwas, to address these concerns.

It combines a healthcare investment account with a mandatory super top-up health insurance policy for eligible subscribers.

The proposition is different from simply buying a health insurance policy. Under NPS Swasthya, the subscriber builds a corpus that can be used to meet healthcare expenses, including the deductible under the super top-up policy. This means the subscriber does not have to arrange the deductible entirely from other savings when a claim arises during a medical emergency.

Subscribers can also transfer funds from their existing National Pension System (NPS) account under the All Citizen Model to the Swasthya account for healthcare-related needs.

To enrol, an individual must first open an NPS Swasthya Investment Account. The subscriber has to deposit ₹1,000 towards investment, pay an annual Health Benefit Administrator (HBA) maintenance charge of ₹200 and the first-year health insurance premium. The PFRDA has appointed Medi Assist as the first HBA for the scheme.

Thereafter, the minimum contribution is ₹10 per annum. The renewal premium can also be funded from the NPS Swasthya corpus, subject to the subscriber's mandate and available balance.

Insurance component

Any individual eligible to join NPS can enrol in NPS Swasthya. The health insurance component is offered as a group policy, with the PFRDA as the master policyholder for all enrolled subscribers.

Subscribers can take coverage for themselves or extend it to up to two adults and two dependent children. The entry age for the insurance is 18 to 70 years, while renewal is permitted up to and including 85 years subject to policy terms.

The policy is a super top-up, which means the insurer starts paying only after the specified deductible is met. The deductible varies with the sum insured: ₹10,000 for a ₹1 lakh sum insured, ₹50,000 for a ₹5 lakh sum insured, ₹10 lakh for a ₹10 lakh sum insured, and ₹3 lakh for a ₹30 lakh sum insured under the available options.

Premiums are divided into three age cohorts: 18-40 years, 41-60 years and 61-70 years for determining annual premiums.

For instance, a ₹30 lakh sum insured with a ₹3 lakh deductible costs ₹1,732 for those aged 18-40 years, ₹2,523 for those aged 41-60 years and ₹4,953 for those aged 61-70

Enter NPS Swasthya for health insurance

PFRDA's new offering will help you build a healthcare corpus for immediate medical needs and have insurance for larger hospitalisation expenses.

What is NPS Swasthya

A pension scheme that combines:

- A dedicated corpus for healthcare expenses
- A group super top-up health policy
- Master policyholder: PFRDA

Who can enrol?

- Anyone eligible to join NPS, including existing subscribers
- Health insurance entry age: 18-70 years
- Renewal allowed up to 85 years, subject to policy conditions

Role of NPS Swasthya corpus

- Meet the super top-up deductible
- Fund eligible for OPD, IPD expenses
- Pay renewal premium
- Withdrawal allowed up to 25% of contributions
- No restriction on the number of withdrawals
- No waiting period between withdrawals

Note: i) Funds can be moved from regular NPS account to Swasthya to cover the deductible amount; ii) Withdrawals are settled directly with hospitals, healthcare service providers

How to enrol

- Visit NPS Central Portal (www.npscentral.in)
- Complete KYC as per NPS norms

NPS: National pension system; PFRDA: Pension Fund Regulatory and Development Authority; OPD: Outpatient department; IPD: Inpatient department; KYC: Know your customer; GST: Goods and services tax

What premium to pay

Annual deductible	₹3 lakh	₹50,000	₹10,000
Sum insured	₹30 lakh	₹5 lakh	₹1 lakh
18-40-year-old	₹1,732	₹4,503	₹4,123
41-60-year-old	₹2,523	₹6,558	₹6,004
60-70-year-old	₹4,953	₹12,876	₹11,787

All premiums are GST inclusive for 1 adult
Source: PFRDA

How much insurers charge

Plan	Cover (With ₹3 lakh deductible)	Age of policyholder			
		20 years	40 years	60 years	70 years
Care Health Supreme Enhance	₹20 lakh	₹2,124	₹3,038	₹10,021	₹19,773
Niva Bupa Health Recharge V2	₹15 lakh	₹1,613	₹2,143	₹6,981	NA
ICICI Lombard Activate Booster	₹25 lakh	₹3,646	₹5,125	₹13,377	₹24,398
Tata MediCare Plus STU	₹20 lakh	₹5,326	₹6,170	₹13,518	NA
National Insurance Super top-up Mediciam	₹10 lakh	₹2,596	₹3,288	₹7,767	₹15,907

Premiums for 1 adult from Delhi zone; No GST on retail policies
Source: Money Plant Project

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years, according to PFRDA data. Currently, Aditya Birla Health Insurance offers it through the Axis Pension Fund under the group arrangement. "Premiums are 30-40% cheaper than the competing plans available in the market," said PFRDA chairperson S. Ramann.

However, a direct comparison with retail super top-up policies is difficult because a similar combination of sum insured and deductible is not readily available in the market. Some products offer a closer comparison but are not identical.

At ICICI Lombard, a ₹25 lakh sum insured with a ₹3 lakh deductible costs ₹5,125 for a 40-year-old, ₹13,377 for a 60-year-old and ₹24,398 for a 70-year-old under its comparable offering.

"Deductible amount matters more in super top-up than sum insured. The higher the deductible, the lower the premium. Comparing premiums with the industry, NPS super top-up premiums are quite reasonable," said Akshay Bansal, a certified financial planner and founder of Money Plant Project, a financial advisory firm in his assessment.

The premium, however, is only one

part of the comparison. A key differentiator is the entry age. Not all insurers offer super top-up policies with entry permitted up to 70 years. This relatively high entry age could help individuals who find it difficult to obtain health insurance at older ages from conventional insurers and are seeking coverage later in life.

Also, since it is a group policy, there is no requirement for medical tests at the time of enrolment. However, subscribers have to make the correct declaration of pre-existing diseases for all covered members. "PEDs will have a waiting period of one year," said Ramann for covered conditions.

That does not mean everyone will necessarily be able to buy the cover. "Around 15 dis-eases, such as cancer and heart attack, have been identified, which will either be excluded or get coverage on paying an extra premium, subject to insurers' underwriting guidelines," said Ramann.

Premium comparison with other health products is important as well. Viresh Patel, a Mumbai-based Sebi-registered investment adviser, said he would compare premiums for fixed-benefit and investment-linked health

products offered by life insurers before recommending one to his regular clients.

"I will compare the premiums of Swasthya with policies such as LIC Jeevan Aarogya and ICICI Pru Hospital Care that offer a fixed sum on hospitalization, or ICICI Pru Health Saver that combines hospitalization cover with a market-linked savings fund," he said.

Although the products are not directly comparable, their pros and cons should be assessed at an individual level to determine suitability before making a recommendation, Patel added.

Role of the investment account

The Swasthya investment account is meant to help subscribers build a healthcare corpus. This corpus can be used to meet the deductible when the super top-up is triggered, or to cover eligible outpatient department (OPD) expenses, provided the service is within the HBA network and meets eligibility criteria under the scheme.

However, the biggest drawback is that subscribers can only make partial withdrawals of up to 25% of their contributions. There is no restriction on the number of withdrawals and no minimum waiting period between withdrawals. Payments will be settled directly with the hospital or other eligible healthcare service providers

under the scheme's process for approved expenses.

If the amount available in the Swasthya account is insufficient, subscribers can transfer funds from their regular NPS account to Swasthya or make a premature exit with the amount available in the Swasthya account, subject to applicable NPS rules and the conditions governing such transfers or exits.

"NPS Swasthya is a first-of-its-kind product that not only covers the risk of living longer in the form of lifelong annuities but also the risk of falling sick that may put a dent in your retirement corpus," said Sumit Shukla, managing director and chief executive, Axis Pension Fund, at the launch event on 1 October.

The product is aimed at a segment that often falls between government-funded health insurance and private insurance and remains underserved.

"NPS Swasthya addresses the health insurance needs of people who neither fall below the poverty line, for whom Ayushman Bharat has been designed, nor earn enough to comfortably afford private health insurance. It is meant for the missing middle. The next step is to scale up the product and integrate all stakeholders, including pension funds, TPAs and HBA, on a centralized platform so that the claims process is completely seamless," said Sreekanth Nadella, managing director and chief executive officer, KFin Technologies at the launch event.

But technology alone may not determine whether the product works effectively for subscribers.

"The biggest friction in this set-up will come if we cannot match the need with the right network, the right hospital and the right treatment," said Satish V. N. Gidugu, CEO and whole-time director, Medi Assist Group at the launch event.

"Financial transactions have become easy, and that is not what we should take pride in. We should instead take pride in how we curate each hospitalization and each network access for the population that is actually seeking medical care. This is also the only scheme where the historical differences between group, retail and government insurance could disappear," he said in his assessment of the scheme.

NPS Swasthya is an interesting attempt to bring healthcare planning into retirement planning rather than treating the two as separate financial goals. To enrol, one can visit the NPS Central Portal and complete KYC in accordance with NPS norms.

The product's success will ultimately depend on how third-party administrators and insurers respond to subscribers when they are in the hospital to file the claim and access the promised benefits in a timely and seamless manner.



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LIFE INSURANCE: WHEN SURRENDERS TOP DEATH CLAIMS

I will give you the numbers first, then I'll discuss them. In fiscal year 2025 (FY25), life insurers paid ₹6.3 trillion in benefits, according to the insurance regulator's September consultation paper on distribution costs. Of this, death claims accounted for ₹0.47 trillion, or 7%. Maturity benefits took 35%, surrender payouts 37%, and annuity and pension payments the remaining 20%.

Read that again. Money paid to customers who gave up policies far exceeds the sum paid to families of customers who died. Surrender payments are five times larger than death claims. Numbers from Irdai's consultation paper deserve attention than the new commission rates that everyone, including me, quickly wrote about. The payoff from digging into this 120-page paper is remarkable: it contains unusually revealing data about an industry whose underlying economics are often difficult to see.

These numbers should make an industry—and its regulator—uncomfortable. Life insurance exists, at least in part, to protect families from the financial consequences of a breadwinner's death. Yet death payouts are a small fraction of the industry's total benefits paid. Maturity benefits alone are nearly five times death benefits. Whatever else the industry is doing, insuring against death appears to be a relatively small part of the outcome.

The bigger problem

Then there is the persistency data. Overall, 61st-month persistency across the industry is just 48%, meaning fewer than half of policies remain in force after five years. By the 10th year, the proportion of policies still in force is as low as 8% for some insurance companies. That is a remarkable level of attrition. And there is a particularly interesting qualifier in the data.

Online policies, bought without agents, have a 61st-month persistency rate of 71%. A policyholder who bought a policy without sales intervention is much more likely to keep it. The gap between online and agent-driven policies raises a question about whether the advice given is consistently aligned with customers' long-term interests. The incentive structure offers part of the explanation.

Commission's data show that first-year commissions on savings-linked policies average 25-37% of premium. For some firms, first-year distribution costs are as high as 60-80%. Renewal commissions on the same products range 0-5%. The incentives are therefore heavily weighted towards acquiring a new customer rather than retaining one. It should not be surprising, then, if the industry's sales machinery is better at generating new policies than ensuring that customers stay with them.

There is another hidden loss. The data shows even customers who surrender at around the five-year point do not recover the premiums they have paid. Forget returns; in many cases, they take an actual loss. The industry's defence against such criticism is that these are savings and investment products, and judging them by the standard of pure protection is unfair because customers buy them for the maturity payout, not the death benefit.

But that defence gets to the heart of the problem. When customers buy products from an insurance company that function primarily as high-commission investment products with a relatively small insurance component, it raises a basic question about whether the product is doing either job particularly well. If you are holding such a policy, the surrender figures are about you, and the decision to exit is harder than the headline numbers might suggest. The premium you've lost is gone either way. Continuing to pay for another 15 years simply to avoid acknowledging a bad purchase could turn a five-year loss into a 20-year one.

A more useful comparison is forward-looking: what will the policy pay you from here? Set that against the cost of a term plan plus an index fund for the same annual outgo, and make the decision on those numbers rather than on the money already spent. None of this necessarily implies criticism of individual sellers, or cynicism on their part. They are operating within an industry design and incentive structure that they did not create. The more important question is whether that structure produces products and advice that work in the customer's long-term interest.

And the data in Irdai's paper point to a conclusion that is difficult to ignore: for someone whose primary need is life insurance, plain term insurance remains the clearest form of protection because its purpose is straightforward—pay a benefit if the insured dies during the policy term, rather than combining insurance with a savings or investment proposition.

Dhirendra Kumar is founder and CEO Value Research.

Check how your NPS investments are faring

There are very few retirement products that help you accumulate a retirement nest egg and one such product is the National Pension System (NPS). It is a market-linked, defined-contribution product that needs you to invest regularly in the funds of your choice. The returns are based on the performance of the fund that you choose. There are eleven pension fund managers to choose from and one of the ways to do that is by tracking the returns. Here is a breakdown of the performance of different funds—equity fund, government bond fund and corporate bond fund—of the private sector NPS. This NPS table shows returns for pension fund managers who have completed at least 1 year

Returns (in %)				Tier-1 account								
1 year3 years5 years				Equity fund			Government bond fund			Corporate debt fund		
Fund Manager	Axis Pension Fund	-6.75	0.99	-	2.06	6.15	-	4.41	7.19	-		
	Aditya Birla Sun Life Pension	-4.01	8.02	8.07	2.24	0.54	5.91	4.13	7.17	6.27		
	DSP Pension Fund	-8.42	-	-	1.68	-	-	4.62	-	-		
	HDFC Pension Fund	-5.68	8.18	7.79	1.78	6.06	5.47	4.56	7.50	0.54		
	ICICI Pru. Pension Fund	-4.6	8.95	8.63	2.37	6.31	5.63	4.69	7.40	6.39		
	Kotak Mahindra Pension	-7.55	8.34	8.4	1.62	5.83	5.4	4.88	7.43	6.32		
	LIC Pension Fund	-7.09	7.09	7.59	1.99	0.41	5.74	4.17	7.00	6.10		
	SBI Pension Funds	4.93	0.37	6.97	2.09	0.49	5.74	4.68	7.43	6.36		
	Tata Pension Fund	-5.03	9.65	-	1.37	5.89	-	4.00	7.22	-		
UTI Pension Fund	-7.39	8.79	8.41	2.05	0.41	5.78	4.77	7.39	0.30			
Non-Government POP returns data as on 1 October 2026				NPS Equity Index			NPS Govt. Security Index			NPS Corporate Bond Index		
Source: Npstrust.org.in				-5.388.248.19			2.280.625.84			4.206.866.10		
Benchmark index												
GOPAKUMAR WARRIER/MINT												
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Non-Government POP returns data as on 1 October 2026
Source: Npstrust.org.in

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Can India gains offset foreign share losses?

Harshal Bhuta

I am an NRI living in the UK, having left India in 2017 for employment. I regularly invest in the UK and India. Recently, I sold some UK and Indian stocks. I incurred a loss on the sale of UK stocks, whereas I earned gains on the sale of Indian stocks. Can I set off the UK capital loss against gains from Indian shares in my India tax return?

—Name withheld on request

Assuming you are a non-resident Indian (NRI) for fiscal year 2027 (FY27) under the Income-tax Act, 2025, only income which is received or deemed to be received in India, or accrues or arises or is deemed to accrue or arise in India, would form part of your total income in India. Accordingly, a capital gain or capital loss arising from the sale of UK shares by an NRI would not be taxable in India. Since such capital loss does not form part



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NRI TAXATION

of your total income in India, the question of adjusting such loss against capital gains arising in India would not arise. Therefore, such UK capital loss cannot be set off against capital gains arising from the sale of Indian shares while filing Indian income-tax returns.

I moved to Singapore in 2024 and became an NRI. Before moving there in

2024, I invested in US stocks under LRS, but did not report them in Schedule FA. I recently received an Income-Tax Department email regarding the Foreign Assets of Small Taxpayer Disclosure Scheme 2026 (FAST-DS). Can I still file a declaration under FAST-DS as an NRI?

—Name withheld on request

The eligibility criteria under the Foreign Assets of Small Taxpayer Disclosure Scheme 2026 (FAST-DS) cover a per-

son who is a resident under the Income-tax Act, 2025, as well as a person who is a non-resident (NR) or Resident but Not Ordinarily Resident (RNOR) in the year of declaration, but was a resident in the year in which the undisclosed foreign income was earned or the undisclosed foreign asset was acquired. Accordingly, although you are currently an NRI, you would be eligible to make a declaration under FAST-DS 2026 since you were a resident when the US stocks were acquired. Further, since the stocks were not reported in Schedule FA, a fixed fee of ₹1 lakh would be payable upon making the declaration under FAST-DS.

Harshal Bhuta is a partner at P. R. Bhuta & Co., Chartered Accountants

Do you have a personal finance query? Send in your queries at mintmoney@livemint.com and get them answered by industry experts.

OUR VIEW



GST 2.0 is likely to get a leg up: let's welcome it

Numerous procedural problems that currently get in the way of realizing the full benefits of GST 2.0 will hopefully be done away with at the GST Council meeting this Wednesday

Wednesday could well be a red-letter day for India's economy. A meeting of the Goods and Services Tax (GST) Council is expected to unveil a series of key procedural reforms as a follow-through of GST 2.0, which began with rate cuts last year. On the financial front, the Reserve Bank of India (RBI) will announce the outcome of decisions taken by its rate-setting panel. The former addresses micro concerns, at the level of businesses; the latter focuses on macro concerns. Together, they could do what the country needs.

In the words of Finance Minister Nirmala Sitharaman, "Next-gen GST was conceived with two connected purposes: to reduce and rationalise rates, and to make compliance easier." The former has mostly been done. The latter is still a "work-in-progress." Thus, "between October 2025 and July 2026, the value of reported taxable supplies grew 25.8% over the corresponding period a year earlier... Gross GST collections reached ₹12.46 lakh crore during April–September 2026," up 11.6% from a year earlier. The FM is justifiably proud of GST achievements, though states and the Union government acting together must share credit. Yet, several procedural wrinkles remain that will be discussed at this week's meeting for ironing out. The aim has been signalled: make life easier for enterprises, particularly smaller ones, reduce discretion by use of technology, minimize litigation and deliver consumer benefits through lower transaction costs for trade. The biggest change proposed relates to how offenders are treated. GST authorities are expected to lose their power to arrest taxpayers for tax fraud and other offences; only courts will

have that authority. This will require a law tweak. As an easing measure, businesses with turnovers of up to ₹5 crore with only unregistered customers would be able to file returns annually (with quarterly tax payments). GST registration applicants that qualify for the automated route would get it done within three working days. Changes in trade names, partners or directors, apart from add-on business addresses, could move to automatic processing. The GST Council meeting may also take up a proposal that lets small sellers on e-com platforms sell nationwide with a single registered address. If approved, this would benefit sellers that must currently register in every state their products are warehoused for online sales.

Easing input tax credit (ITC), another sore point, could give Indian industry an indirect stimulus by freeing up capital. The supply chains of several items in the 5% rate bracket—food, pharma, textiles and electric vehicles included—face inverted duty structures, which result in ITC pile-ups running into thousands of crores. Releasing this capital could help businesses contain costs and invest more. GST norms are proposed to be aligned with RBI's rules for export payment receipts. Thus, no show-cause notice may be issued where the amount involved is below ₹10,000, with the proposal extending to pending cases. Given that around 95,000 notices a year arise from differences between returns, with recovery adding up to just about 0.08% of the sums involved, this is a long-overdue move. All in all, it's hard to quarrel with the rationale of any of the moves proposed for the GST Council's nod. On the contrary, they are a true example of cooperative federalism, the spirit that has guided India's indirect tax reforms.

THEIR VIEW

The Great Barrier Reef: why it's just refusing to die on schedule

The reef's record coral cover should end the alarms that ecologists routinely sound over its health



BJORN LOMBERG
is visiting fellow at Stanford University's Hoover Institution.

Australia's marine scientists recently released their annual audit of the Great Barrier Reef, and it contains news you almost certainly haven't heard: coral cover held steady or increased across most of the reef. In the 40 years that scientists have systematically measured the reef, the five best years on record are the five most recent. That is the sound of a catastrophe not happening.

You haven't heard the good news because the reef has an entire public relations industry built around forecasts of its imminent demise. In 2012, researchers reported that the reef had lost half its coral since the mid-1980s and projected that cover could halve again by 2022. In 2014, *The Guardian* published an interactive obituary for the reef. In 2016, *Outside* magazine agreed, declaring the reef dead at age 25 million.

The patient, it turned out, hadn't read the notices. By 2021, coral cover was higher than at any point since measurements began in 1986. It stayed at unprecedented levels through 2022 and 2023 and climbed to a new all-time high in 2024.

The reef answered two decades of death sentences with more coral than anyone had ever measured.

The scientists stopped publishing the reef-wide statistic—making it harder for a layperson to easily see that

the reef was defying predictions. But they continued publishing regional averages, making it possible to effectively recreate their reef-wide average, which clearly kept increasing.

This posed a problem, which the doomsayers solved with a new annual ritual: report the good number, then smother it in warnings.

When coral surged back in 2021, the monitoring institute insisted the outlook remained "very poor". When 2022 set records, the BBC granted that cover was the highest in 36 years but "highly vulnerable."

In 2023, with the reef still near record highs, the official report was headlined as a "pause" in recovery. At 2024's peak, scientists declared the reef one disturbance away from losing it all. The reckoning was always due next year. Next year kept arriving, and so did the coral.

In 2025, much of the media decided the reckoning had finally come. "Great Barrier Reef suffers worst coral decline on record," announced the BBC. CNN pronounced the reef "devastated." What the headlines omitted: that drop came off the highest level ever recorded, and 2025 still ranked as the fourth-best year in four decades of measurement.

In any other field, a fourth best-ever result would be a triumph.

Reef doomsayers pressed on, undeterred. Two prominent marine biologists recently warned that the reef faced a very high risk of "ecosystem collapse." Weeks later, we now have the actual data: coral growing again in the north and centre, stable in the south, helped by a late monsoon that cooled the water. The collapse has once again been rescheduled.

When catastrophe fails to arrive, a second story stands ready: take a bow and send the bill. Australia's federal and Queensland governments have spent more than 5 billion Australian dollars on reef protection programmes since 2014, and when the United

Nations Educational, Scientific and Cultural Organization (Unesco) declined in July to put the reef on its "in danger" list, ministers hailed the decision as recognition of Australia's world-leading reef management.

It takes nerve to spend years forecasting an ecosystem's death and then claim credit for its health.

The reef's swings have little to do with Canberra's cheque book. The main spending that has a proven impact on coral cover is dealing with the crown-of-thorns starfish.

When populations spike, these predators consume massive amounts of hard coral. The best estimate is that Australia's spending on killing these starfish has delivered half a percentage point more coral cover.

That is clearly not the main reason for the reef's 10 to 25 percentage point rebound.

Coral cover falls when cyclones, heat waves and crown-of-thorns starfish strike, and rebounds because fast-growing branching corals do what they have done for millennia. Government spending does not summon the monsoon. And if the billions really did explain the record years, what would explain the 2025 drop? Did the money briefly stop working?

This does not mean the reef faces no threat whatsoever. Bleaching events have hit six times since 2016. Coral cover fluctuates, and next year's survey may well be lower.

But fluctuation is not death and an ecosystem that has just delivered the five best years in its 40-year record is not on its deathbed.

Every time a new reef audit arrives, we find that doom has been postponed. Yet, those who predicted the reef's demise go unchallenged.

That should change because the exaggeration is not harmless. Crying wolf has a well-known ending. Despite years of funeral music being blasted by the world's media, the Great Barrier Reef is going strong.

10 YEARS AGO



JUST A THOUGHT

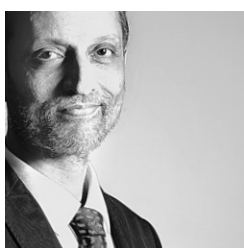
Inflation is the most universal tax of all.

THOMAS SOWELL

MY VIEW | MUSING MACRO

Economic warnings point to narrowing policy space

AJIT RANADE



is senior fellow with Pune International Centre

Two recent warnings deserve to be read together. Chief economic advisor V. Anantha Nageswaran has cautioned that the second half of this fiscal year will be tougher, despite first-quarter GDP growth of 7.8%. At the Asia Society in New York, India's external affairs minister S. Jaishankar highlighted pressures on four 'F's—food, fuel, fertilizer and finance—and warned of a possible food crisis. American tariffs on Indian exports, oil above \$110 a barrel and global monetary tightening are making the external environment less accommodating.

Domestic challenges compound these shocks. Deficient monsoon rainfall threatens agricultural output, food-price stability and rural incomes. The absence of remunerative job growth despite strong GDP growth manifests in long queues for job openings and youth unrest. The third challenge is a widening merchandise trade deficit, at \$88 billion last quarter, increasing external financing needs. Fourth, debt burdens and pressure on state deficits limit governments

capacity to cushion households. These pressures reinforce one another and narrow the choices of policymakers.

Despite claims that India's economy has become drought-proof, weak rains remain a key worry. Maharashtra has declared three-fourths of the state drought-affected. Nationwide, inadequate rainfall reduces summer crop yields and leaves insufficient soil moisture for winter sowing. Fertilizer shortages or higher prices would compound the damage. Lower harvests squeeze farm incomes while also raising food prices. Rural purchasing power weakens precisely when households must spend more on essentials. This combination transmits distress beyond agriculture to consumer goods, construction and small businesses. Imports can relieve supply shortages but worsen external finances.

If crude oil stays above \$110, it creates a four-way squeeze. It puts pressure on India's trade deficit, exchange rate, fiscal situation and inflation simultaneously. A higher import bill increases demand for dollars and raises transport, manufacturing and fertilizer costs. Rupee depreciation adds to those costs. Higher global interest rates make external financing more difficult. Domestic rates can't be kept low when inflation and currency pressures intensify.

India's services earnings and remittances cushion its goods deficit. But they cannot be assumed to offset an indefinitely expanding merchandise gap. Exports to India's largest market are jeopardized by the threat of steep US tariffs. Foreign institutional investors pulling out funds are another warning sign.

A larger current account deficit gets uncomfortable when capital inflows are harder to attract. Both the financing requirement and its terms matter.

The Reserve Bank of India's (RBI) dollar deposit scheme bought breathing space. Banks swapped dollars with RBI, boosting reserves while creating corresponding future dollar obligations. RBI's net forward dollar liabilities reached \$200 billion in August. This useful buffer must be assessed alongside its liabilities. Deposit maturities imply repayment or refinancing needs. The scheme and its abrupt closure illustrate the difficulty of using liabilities to shore up external finances. Borrowing dollars can bridge a tough period. But it can't substitute

indefinitely for earning them through exports or attracting durable investment.

Banking-system surplus liquidity reportedly exceeded ₹11 trillion in early September. Abundant liquidity initially lowers short-term rates. But absorbing it imposes costs: RBI bond sales add to securities supply and can push yields up; interest paid on absorption can reduce central-bank earnings, reducing its dividend to the central exchequer. Rising yields can also mean valuation losses for banks. Leaving excess liquidity unabsorbed risks inflation if credit growth outpaces supply. The subsidy implicit in RBI's exchange-rate cover adds to the cost of this borrowed stability.

Government budgets bear these costs through lower RBI transfers and costlier borrowing. States face an additional constraint: salaries, pensions and interest already absorb revenue, while debt stays elevated. Drought relief and household support must compete with development spending. Protecting vulnerable citizens is necessary, but financing recur-

ring commitments through debt reduces resources for future investment. Not to forget the Eighth Pay Commission's effects. We must distinguish spending that strengthens future incomes from commitments that merely add to tomorrow's financing burden.

The changing global order offers limited immediate relief. China's export strength intensifies competition for Indian manufacturers. Dollar diversification is proceeding but alternative payment arrangements do not erase India's dollar needs. Greater geopolitical fragmentation may instead make both trade and capital more costly and unpredictable. A diminishing dollar share of global reserves does not automatically give India greater economic autonomy.

There are no quick fixes. India's response should combine immediate protection with lasting adjustment. Secure fertilizer and energy supplies, manage food stocks transparently and target relief at the vulnerable. Allow orderly exchange-rate adjustments while disclosing the full cost of subsidized dollar borrowing. The Centre and states should protect productive investment and contain unfunded recurring commitments. Stronger exports, predictable investment rules and employment-intensive growth remain durable sources of resilience.

There are no quick fixes. Our response must combine relief for the needy with lasting adjustment



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Why states hold the key to make the GST 2.0 reform a big success

They have the capacity to increase their tax revenues. A small investment today could lead to a wider tax base tomorrow



PRACHI MISHRA & SHOHAN MUKHERJEE

are, respectively, dean of Ashoka School of Economics, director and head of Ashoka Isaac Centre for Public Policy (ICPP), and professor of economics at Ashoka University, and research associate, Observer Research Foundation.

Nine years after its launch, India's goods and services tax (GST) has been rewired. GST 2.0, which took effect on 22 September 2025, collapsed the four-slab structure for consumer goods (5%, 12%, 18% and 28%) into two main rates of 5% and 18%. Special rates of 0.25% and 3% remain, and a new 40% rate applies to a few items. Of the 506 goods covered by the GST Council's recommendations, about 90% saw their rates cut.

Our estimates suggest the effective GST rate has fallen only from 11.64% to 11.30%, a modest sacrifice that follows a familiar logic: lower rates can over time increase collections by widening compliance and stimulating activity. While most of the debate has centred on revenue implications, the more important question is how the transition is managed and by whom. The answer, we argue, is India's states.

How quickly the reform pays for itself depends on two things: whether businesses pass rate cuts on to consumers and how responsive demand is to lower prices. Early evidence is mixed, but the longer view is more encouraging. As effective rates have come down since 2017-18, gross GST revenue as a share of gross domestic product (GDP) has held up. The same is true of its state and inter-state components, apart from the pandemic dip in 2020-21.

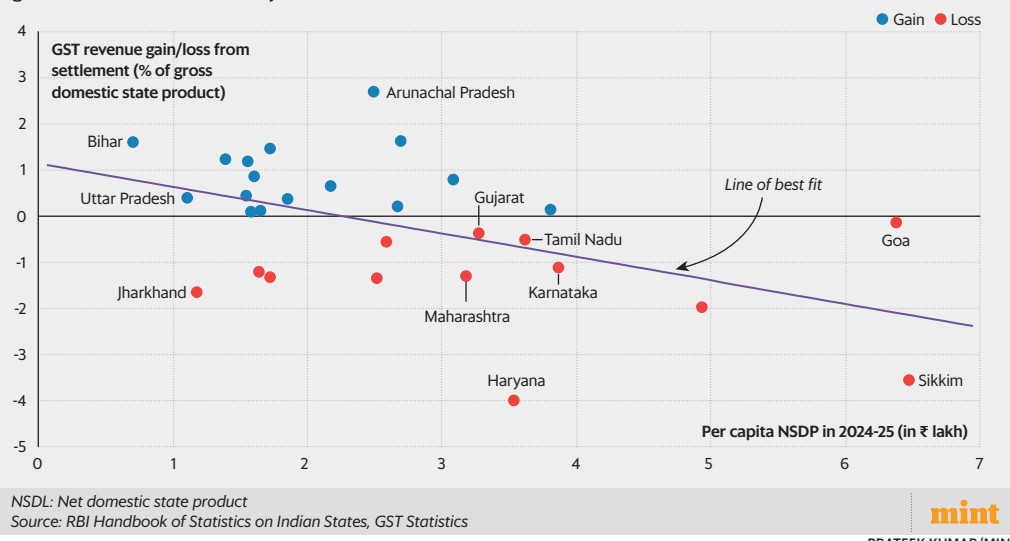
The more telling story lies beneath the national totals. State GST collections have two parts: state GST (SGST), retained by the state where a transaction takes place, and integrated GST (IGST), levied on inter-state sales and collected by the Centre, which then passes on the destination state's share. If a Maharashtra manufacturer sells furniture to a Karnataka retailer, it charges IGST, and Karnataka receives its share because that is where the furniture is retailed for consumer use.

Before this settlement, the gaps between states are stark. Haryana collects SGST and IGST equivalent to about 7.7% of its state GDP; Bihar collects about 1.3%, a sixfold difference under the same tax code. Much of it reflects the size of the industrial and services base. After settlement, the gap narrows sharply: Haryana falls to around 3.4% and Bihar rises to about 2.9%. This is not a negotiated transfer. It is built into the destination-based design, a structural form of cooperative federalism that moves resources from where goods are made to where they are consumed.

The stakes for state budgets are high. Roughly half of Indian states' own tax revenue comes from GST. Collection performance largely determines

GST revenue: Rebalancing act

Gaps between various states/UTs are wide before settlement transfers to those where goods and services are finally sold.



how much room a state has for capital spending, which tends to have the largest growth multiplier. States that pair strong collection with well-targeted spending are best placed to grow faster and contribute to the Viksit Bharat goal of a high-income, developed economy.

So, how can states raise more? Three steps can be taken, all of which are within their own control.

The first is to know the tax base better. Measurement is the starting point, and it is good news that states already hold rich data. Also, the digitization of GST makes it easier to map the informal and under-registered economy against potential collections. Maharashtra built a data warehouse on GST Network data that risk-profiles its entire taxpayer base, with parameters refined every year. Karnataka worked with IIT Hyderabad to bring

registrations, returns and e-way bills into a single analytics portal. Earlier analytics work there produced a 15-fold rise in the detection of bogus entities, blocked about ₹278 crore of fraudulent input tax credit claims and flagged fake turnover of around ₹4,250 crore. Neither state needed new legislation or a rate change, and both drew on partners, from Capgemini and PwC to IIT Hyderabad. States need not build this capability alone.

The second is to make compliance easier. Compliance rises when the benefits of registering and reporting honestly outweigh the costs, and those costs are mostly administrative: the time spent filing, reconciling invoices and resolving disputes. Simpler processes, faster refunds and clearer rules help. So does smarter enforcement. Andhra Pradesh uses artificial intelligence (AI) and machine learning, with a 35-parameter risk matrix, to score taxpayers and select cases for scrutiny. Directing attention to higher-risk cases spares compliant businesses needless checks and makes enforcement more credible. The aim is to make honest compliance the simplest and most predictable choice.

The third is to re-use the data. States investing in granular GST taxpayer and transaction databases need not limit them to GST. Excise on alcohol, stamp duty and registration fees, vehicle taxes, electricity duties and land revenue together account for roughly 25-35% of states' own tax revenue. Yet, weak taxpayer identification has left much of this revenue uncollected. Cross-referencing these against an existing GST information system is a high-return, low-cost way to unlock more from an asset already built.

The end of GST compensation also removes a distortion in incentives. When states were compensated for revenue shortfalls, the marginal return to improving tax collection was weaker. Every additional rupee collected could reduce the compensation received. With compensation now ended, every rupee gained through better tax administration directly strengthens state finances.

The short-term cost of GST 2.0 is small, and it is the price of a system designed to expand over time rather than extract more today. The path to stronger state finances may run not through higher rates, but through a wider base and deeper voluntary compliance, both squarely within states' own capacity to deliver on.

Ashutosh Dilshit, Vijay Singh Chauhan and the ICPP team contributed to this article.

Why Andy Burnham's 'theory of growth' seems flaky at best

Combining statism with localism is unlikely to boost GDP growth



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Andy Burnham's speech at the Labour Party's annual conference was memorable. Unlike his predecessor, the new British prime minister sounded heartfelt and hopeful. He took a few big swings at hard policies as well. Reform is promised for elderly care and Britain's bloated welfare regime, as is a "national conversation" on the relationship with the European Union and the UK's outdated winner-takes-all electoral system.

He also offered up "a theory of growth," sharing it with the same passion that ran through the rest of his pitch. But—unlike with the EU, social care and voting reform—he didn't seem open to a conversation about this. The PM's mind is made up on growth. And that's a problem because his theory of how to reboot the economy is, at best, thin. At worst it's a recipe for decline.

Burnham sees two essential steps to growth, and an Edenic end-point once they're taken. First, the state should control "the basics." Second, power must be devolved to regions to unleash their animal spirits. The result of doing both, according to him? "We optimize the conditions for businesses to grow."

There's quite a bit missing there, and a couple of very dubious assumptions.

On state control, it's not hard to see why Burnham thinks this might be a vote winner. A recent survey found that more than 80% of Britons want publicly run water companies and 70% want the same for energy firms. My heart's with them. No two words are more feared in my household than 'Thames Water.'

But it wouldn't be the first time that I, or a large majority of people, have been mistaken about what we want. Publicly run companies aren't necessarily more accountable to those who use them. They tend to be frustratingly unresponsive. More to the point, state control can't be the basis of a theory of growth. There is no reason to suppose publicly run companies would be better at allocating scarce resources or slashing costs in the way Burnham hopes.

In fact, Britain's public sector is becoming more unproductive. Research from E&Y found that a shortfall in public-sector productivity costs the UK about £80 billion a year, which might reach £170 billion of lost output annually by 2030. So what you gain by cutting out profiteering you can just as easily lose through inefficiency.

Then there's devolution. It might boost growth if you let regions set their own tax and policy regimes, and to compete for investment and people. But that is not what the government plans at all.



Burnham needs to question his and his party's economic instincts. AFP

If anything, Britain's economic growth problem is born of local authorities having too much power. They usually use it to block investment.

A handy example of that came this week from the prime minister himself. When asked about plans for a third runway at Heathrow, Burnham brushed past the possibility that it would enhance growth, and instead implied it was something that London's mayor and members of Parliament should decide on. Britain needs a leader willing to say that, when a regional preference conflicts with a national need, he will choose whichever boosts gross domestic product for everyone. Burnham has flunked his first test on that.

Provincial politicians will always object to stuff like new airport runways, nuclear-power plants or reservoirs. Local panjandrums are today the biggest obstructors of UK infrastructure spending. How can they also be the connecting link in any coherent theory of growth?

It's telling that Burnham reckons his ultimate goal of "optimizing the conditions for businesses to grow" can be achieved by embarking on his two steps of statism and localism (and by "supporting workers"). In other words, companies and entrepreneurs will start investing once the central state is wisely setting the overall direction of the economy and town-hall officials are empowered to do the same locally.

This is just not true. The private sector is wrestling with larger concerns: It's constrained by depressing amounts of red tape; borrowing costs are too high; the planning system is a disaster; poor transport links limit where firms can expand and recruit. All of these are fixable, some even before the next election. They should be the essential building blocks of any workable theory of growth for the UK. Burnham needs to make sure he includes them, quickly.

The prime minister has made a reasonable diagnosis of what's gone wrong for Britain. He has proven willing to pose difficult questions about the UK's welfare state, its democracy and its place in Europe.

He should be willing to ask them of his own—and his party's—economic instincts as well. The optimism running through his speech was refreshing. But a more hopeful leader does not mean we have more reason to hope.

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| MY VIEW | A VISIBLE HAND

New state governments are putting policy shifts to test

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One of the most famous and widely studied natural experiments in modern history is the division of North Korea and South Korea at the end of World War II. A natural experiment occurs when a naturally occurring event creates a situation where similar groups are exposed to different conditions, letting policymakers study the outcomes. In economic prosperity, life expectancy and much else, South Korea has had vastly different outcomes than the North, even though they were once a single nation with a shared language, culture, geography and ethnic background.

A broadly similar thing is underway in three Indian states that held legislative elections over the last couple of years—Odisha, West Bengal and Tamil Nadu. In all three cases, long-standing incumbents and attendant political ideologies were displaced. In Odisha, the Biju Janata Dal, with Naveen Patnaik as chief minister, had been in power for nearly a quarter of a century before being ousted by the Bharatiya Janata

Party (BJP). In West Bengal, Mamata Banerjee, who leads the All India Trinamool Congress (AITC), ruled as chief minister for 15 years before being deposed by the BJP. And in Tamil Nadu, the Dravidian parties, both the Dravida Munnetra Kazhagam (DMK) and All India Anna Dravida Munnetra Kazhagam (AIADMK), had ruled for a combined six decades before being replaced by Chief Minister C. Joseph Vijay and his Tamilaga Vettri Kazhagam (TVK).

This is not exactly a natural experiment, which requires both a 'control' situation (a part of the population that sees no change) and a 'treatment' one (a part that is subject to an exogenous shock). What has transpired in these states is actually 'regime change' for endogenous reasons, manifest through legislative election cycles. For narrative argument, however, I will go with the natural experiment idea, since one can always create a 'synthetic control group' of similar states or perform tests in the border areas of a state so that control groups lie just outside the state's boundaries.

During the tenure of Patnaik, Odisha represented a model of centralized, charismatic populism under a single leader, focusing heavily on direct welfare delivery, women's self-help groups and disaster resilience.

Under both the DMK and AIADMK, Tamil Nadu represented a model of ideological, institutionalized populism deeply rooted in social justice, anti-caste mobilization and aggressive industrialization. Banerjee's West Bengal represented a case of aggressive cash redistribution to manage a de-industrialized economy, offering a stark structural contrast with Tamil Nadu's asset-building model.

Unsurprisingly, one thing that the new governments in Odisha and West Bengal have done is tack sharply towards accepting central government ideas and programmes in areas such as health insurance, law enforcement and immigration. Cash giveaways continue with new monikers. In West Bengal, time will tell whether the agrarian and small-business protectionism favoured by the AITC will be replaced by a Tamil Nadu-style preference for large industry.

Similarly in Odisha, it is not yet clear how far the new government would go towards large-scale modern manufacturing (semi-

conductors) versus the old idea of redistributing profits from mining. One project that is likely to create some societal angst in both states is a potential shift from regional pride (Odia Asmita in Odisha and Bangaliyana in West Bengal) to a more Hindi-based nationalist identity.

There will be much to learn from policy revisions in Odisha, West Bengal and Tamil Nadu

The case in Tamil Nadu appears quite different. Vijay has cleverly avoided the term 'Dravida' in his party name and substituted it with 'Tamilaga,' meaning people who speak Tamil. On his very first day in office, he visited the memorial of Periyar E. V. Ramasamy, the founder of the Dravidian movement in Tamil Nadu. Both in that action and his policy pronouncements, the TVK has signalled continuity with the rationalist and social justice philosophy of Dravidian parties.

Vijay has rolled out a sweep of high-profile welfare schemes: a ₹2,500 monthly grant for women heads of households, six free cooking gas cylinders annually (subsequently scaled back to three), free bimonthly

electricity for households consuming under 500 units, and an Annam Seer Scheme offering eight grams of gold paired with a silk saree for eligible brides. This heavily welfare-centric approach is cut from the same political cloth as the legacy populism of former chief ministers M.G. Ramachandran and J. Jayalalithaa. The 'how' of Vijay's administration does differ, deploying key performance indicators and vision documents to hold his cabinet ministers accountable, and using technocratic delegation and institutional channels to claw back funds from the Centre. To protect the administration's image, he has instituted strict rules on internal optics, going as far as banning ministers from posting informal content online like Instagram reels.

And so, open experiments have begun. In Odisha and West Bengal, after decades, greater centripetal alignment has begun. In Tamil Nadu, centrifugal forces have seen little change, but the rhetoric of governance has become technocratic, institutional and a tad unemotional. Early results of these experiments should be available well before the end of the new governments' first terms.

P.S: "All life is an experiment. The more experiments you make the better," said American essayist Ralph Waldo Emerson.



Midnight munchies approved by dieticians

An early dinner may not be enough to curb midnight hunger pangs, and experts weigh in on what to eat when life gets in the way

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What's your favourite midnight snack? It's a question that regularly pops up on celebrity rapid-fire rounds, romanticising relishing everything from instant noodles to chocolates, and all forms of indulgent foods. Pop culture has embraced the trope of crying buckets into tubs of ice cream in the night after a bad day or a breakup. Late-night eating has always been packaged as comfort and even a little rebellion. And admittedly, there is something appealing about it: a favourite snack in a

quiet house with dim lights feels like a small reward.

But, dieticians advise keeping a gap of two-three hours before bed and recommend 7pm as the cut-out time for dinner. In an ideal world without late-night pickle-ball matches, parties and PMS, this would have been possible. But, plans change, routines get disrupted and life gets in the way. Reaching for a midnight snack occasionally is not alarming, and you can't sleep with a grumbling tummy. So, if you are starving at midnight, what can you eat without guilt? It depends on what kind of night you've had, and experts talk about being aware of hunger cues while sharing a list of nourishing foods that won't disrupt your health.



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7 exercises to make the most of the box in a gym

A box can be used for strengthening workouts and cardio routines

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When we think of structuring a gym workout, the barbells, dumbbells and cable machines are usually the first choice of equipment. But, sometimes all you need is a box.

A gym usually has a couple of boxes which are lightweight, movable, made of wood or foam, and measuring between 16 to 24 inches in height. Each is designed in a way where flipping a box to one side will make it taller, giving gym goers two height options depending on their fitness levels.

If you have just a box, a complete workout will involve isometrics, plyometrics, cardio and muscle building moves. Add a couple of dumbbells for a full range of exercises to choose from.

Incline, decline and pike push-ups: If you struggle with regular push-ups, attempt incline push-ups by placing your hands on the box and feet on the floor. If you have mastered regular push-ups, then just flip it: hands on the floor, feet on the box. These are decline push-ups, a demanding version which works the lower chest. Another great one to do is the pike push-up to target shoulders with a steeper angle and the hips raised.

Reverse hyperextensions: A box lets you strengthen your lower back and avoid injuries while practicing back extensions. The added challenge is to maintain enough control and balance so that it doesn't topple towards the body. The box hyperextension can become the bedrock for isometric strength as well.

Box tricep dips: Probably the most obvious of them all. Doable on any platform anywhere in the world, the tricep dip will make sure the box is not just for difficult exercises, but also for the most common of them all.

Bulgarian split squats and step-ups: Two different leg exercises, both excellent to work the quadriceps and the glutes. Bulgarian split squats are easily one of the GOAT leg exercises and step-ups are the perfect way to ease into box jumps which will test your explosive strength. For step-ups, place one foot on the top of the box, use your heel to push and drive through to make sure both your feet are on the box. It's important to not turn this movement into a basic jump, but a seamless controlled movement where the working leg puts in most of the effort. To make this tougher, stack a few weights to increase the height of the box.

Hamstring glute bridges: I prefer doing single-leg hamstring glute bridges with one heel digging into the box while the body rests on the floor. Drive the heel into the box and use the hamstrings and glutes to raise the body up for the perfect hamstring burn.

Box jumps: A plyometric necessity because cardio is important to include when it comes to single equipment workouts. Make sure the landing is soft and you start at the lowest height possible. Progress through this by stacking plates on the box or flipping it to increase the height.

Elevated crunches: Place both feet on the box with the body resting on the floor, and crunch it out. It's brilliant because you can also do variations by adding twists depending on your comfort level and endurance.

When hormones disrupt your diet



A sweet tooth caused due to PMS or hormonal changes can feel impossible to ignore. In such a case, the idea isn't to ban the treat, but also not to let a midnight craving turn into a midnight feast.

"Our abilities to make decisions and exercise self-control decrease when we are physically and mentally exhausted. This makes us surrender to our cravings, especially at nights, as the intake of sweet foods can stimulate the brain pathways involved in reward response and provide comfort, pleasure, and relief to us," notes Dietician Niranjana Surendran, Clinical Dietician, Rainbow Children's Hospital, Bengaluru.

REACH FOR: One or two dates with toned milk, a small piece of sesame-ajwain jaggery chikki, dark chocolate with almonds or peanut butter with apple or banana.

After a late-night paddle match

If you need a small bite after squeezing in a late workout, a protein-rich snack to support muscle recovery and replenish your energy levels makes more sense than raiding the biscuit tin.

Dietician Divya Jain, Senior Dietician, CK Birla Hospitals, Jaipur, suggests choosing foods that provide protein, fibre and healthy fats. "When eating late, the goal is to supply

your muscles with protein for repair while keeping carbs light and fibre moderate so your digestion doesn't disrupt sleep," she advises.

REACH FOR: Greek yogurt, cottage cheese, hard-boiled egg or scrambled whites, protein shake (whey or plant-based), a handful of almonds or walnuts.

Partied till after the clock struck 12

The festive season is here and late-night hang-outs are bound to happen. Don't order that pizza or reach for those cup noodles on impulse as your cravings for calorie-rich comfort food could be caused by the delay in your bedtime. "Erratic sleeping habits can lead to eating during the late hours of the day and over time, this could turn into an established craving or a habit of eating even if you are not really hungry physiologically,"

points out Dietician Aditi Prasad Apte, Senior - Clinical Nutritionist, Aster RV Hospital, Bengaluru. Wait for a while to see if you are actually hungry and opt for something very light and easily digestible, she recommends.

REACH FOR: Roasted Bengal gram, roasted unsalted peanuts; puffed rice (with roasted peanuts, drops of mustard oil, and chaat masala).

New parent, sleep-deprived and starving at midnight

For new parents, midnight eating can be less about indulgence and more about being exhausted and hungry. And when you are running on broken sleep and have a newborn to tend to, it's easy to reach for whatever is quickest. Stocking up on healthy snacks and drinks is essential.

"After a mentally draining day, the body requires consolation. Several palatable foods with high amounts of sugar, fats or salt provide immediate gratification but result in an

energy crash afterwards," says Dietician Deepti Lokeshappa, Senior Consultant, Nutritionist and Dietitian, Motherhood Hospital, Bengaluru. "To avoid this, just be mindful of your choices and keep healthy snacks handy."

REACH FOR: Methi-gond-date-wheat laddoos; a boiled egg with a few whole-grain crackers; a glass of warm milk; or a handful of nuts.



How to build a complete workout centered on Pilates

Pilates builds core strength and stability, but include cardio and weight-training to improve overall fitness

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Ask a Pilates practitioner about its many benefits, and you'll hear a version of the same story: better posture, a stronger core, fewer aches and more body awareness.

But are these reasons good enough to make it a complete workout—one that could replace everything else in your fitness routine? Experts and Pilates fans believe a mix of cardio and strength training based on your goals is a better approach.

To begin with one needs to understand what this exercise format entails. It feels like something that Bollywood A-listers can't seem to get enough of as they fold themselves in pretzel-like shapes on a reformer machine. From Janhvi Kapoor to Alia Bhatt and Deepika Padukone, Bollywood's leading ladies are the biggest champions of Pilates making it go viral. But, most who consume their content

don't have a clear definition for Pilates.

Panna Paranpe, a Goa-based classical Pilates instructor, explains it is a low-impact, systematic workout performed in a sequential order, with low repetitions, that focuses on breath, dynamics, rhythm and flow. It can be practised on the mat and on apparatus such as the reformer, Cadillac and wunda chair.

Taru Chaddha, founder of RedMat Pilates in Delhi and Gurugram, describes it in more practical terms as a movement form that trains the body from the inside out.

Sanaaz Ashba, founder of Gaff Your Budds and brand partner, Pilates Academy, Delhi NCR, frames it through what she calls contology: "It makes our micro muscles move in an effortless cadence."

Given that Pilates targets a large number of muscles, most believe it's a full-body workout, but is it enough? Paranpe and Chaddha believe, even though Pilates is a full-body workout, it is not necessarily complete. Chaddha says, "It isn't comprehensive if your goal includes cardiovascular fitness or maximizing strength gains."

BUILDING STRENGTH WITH WEIGHTS

"Pilates improves strength, but it's endurance-based, targets smaller muscles for stability, rather than the hyper muscle-building you get from lifting heavy



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weights," says Chaddha. "It won't replace progressive overload training if your goal is significant muscle mass. We always encourage a combination of both."

Paranpe explains the mechanical difference: "Heavy lifting uses maximum resistance—low reps, high weight to trigger muscle growth. Pilates uses body weight or spring resistance with low repetitions."

Ashba approves this combination: "For someone whose goal is building signifi-

cant muscle mass, I would pair Pilates with progressive resistance training rather than expect Pilates alone to deliver the same outcome," she says.

Pilates practitioners are on the same page. Delhi-based Tania Chakraborty, a desk-bound professional in her late twenties, treats Pilates as one piece of the bigger picture: "I include walking and strength training in my week. Pilates gives me a different kind of challenge, so I see it as complementary."

THE BENEFITS OF CARDIO

A fast-paced reformer or mat session can get your heart rate up, but it's not a substitute for dedicated cardio, says Chaddha. "You'll still want brisk walking, running, cycling, or swimming in your week."

Panna explains why: "Classical Pilates is low-impact and slow-paced, which keeps your heart rate below the zone required for a full cardiovascular workout."

Delhi-based Shravanya Arora, in her forties, figured this out herself: "I walk regularly and incorporate resistance training too. Pilates works on control, mobility and stability, but I wouldn't consider it enough on its own for cardio."

FLEXIBILITY THROUGH YOGA

Yoga and Pilates get compared constantly, but they build flexibility in different ways.

"Yoga typically focuses on static postures held for longer durations, so its flexibility comes from holding a position," explains Paranpe, who is also a certified yoga instructor. "Pilates is all about dynamic control—movements are designed to strengthen and lengthen at the same time."

Chaddha agrees: "Yoga works through longer holds and deeper stretching, often with a breath-meditation focus. Pilates builds flexibility through strengthening."

Ashba is equally clear about where Pilates has the edge: "The sheer core

strength one develops through Pilates is unmatched."

Pilates builds flexibility as a by-product of strength, while Yoga gets there through stillness and breath. Neither replaces the other—so if deep, passive stretching and breathwork are missing from your week, yoga is worth adding alongside Pilates.

A WELL-ROUNDED EXERCISE ROUTINE

Ask the experts to put it all together, and a fairly consistent picture emerges—Pilates as the anchor, with cardio and strength training filled in around it.

"If your priority is core strength, posture, mobility and longevity, Pilates alone can take you a long way," says Chaddha. "But pairing it even once a week with cardio and strength training gives you a more complete framework."

Ashba goes further, sketching an actual week: "Day one should be Pilates, to start the week with full-body awareness. Day two, another workout. Day three, back to Pilates to re-centre and so on." Her advice for the seventh day, only half-jest: "Netflix and chill."

Paranpe keeps it simple: "Treat Pilates as one non-negotiable pillar, and build cardio and resistance work around it, not instead of it. Also, decide what your goals are and then plan a routine around it."